

PUBLIC STUDY EDITION



EDAC Ec.D. Exam Study Guide

A practical, independently created guide for
Canadian economic development professionals

Xiao

July 2026

This guide is independently created and is not endorsed by EDAC.

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github.com/B1ackCat7/ecd-exam-study-guide

EDAC Ec.D. Exam Study Guide

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Public source links are included throughout the guide for verification and further learning.

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About This Guide

I'm Xiao. After several people asked how I prepared for the Economic Developers Association of Canada (EDAC) Certified Economic Developer (Ec.D.) exam, I put together this open, independently created study guide. I hope it helps fellow candidates approach the designation with more confidence.

The guide is written for Canadian economic development professionals. Its short Markdown chapters focus on understanding, judgment, and application to Canadian communities rather than memorized model answers.

This resource is independently created. It is not an official EDAC publication and is not endorsed by EDAC.

0.1 What this Ec.D. exam guide covers

The study guide includes:

- current public EDAC Ec.D. exam requirements and preparation guidance;
- economic development foundations, professional ethics, governance, and performance measurement;
- strategic planning, business retention and expansion (BR&E), investment attraction, partnerships, and networking;
- communications, public engagement, land-use planning, marketing, sales, and site selection;
- business finance, economic impact analysis, calculations, and formulas;
- 24 original practice multiple-choice and true/false questions, plus a purpose-built written mock exam based on the study-guide topics;
- Canadian economic development issues for contemporary-issue preparation; and
- an 84-term glossary with public references for every definition.



0.2 How to use this study guide

1. Begin with the EDAC Ec.D. exam overview.
2. Choose a schedule in the study plan and exam strategy.
3. Work through the foundations chapter and seven competency chapters:
 - Economic development foundations and ethics
 - Economic development processes
 - Governance and performance measurement
 - Operations, partnerships, and networking

- Communications and public engagement
 - Planning and land use
 - Marketing, sales, and site selection
 - Finance, business planning, and economic impact analysis
4. Practise the quantitative material in calculations and formulas.
 5. Use the mock exam for practice and contemporary economic development issues for timed practice.
 6. Use the economic development glossary for quick review and term-by-term authoritative references.

0.3 Print edition

The [print-ready PDF](#) collects the full guide in one document. The [single-file LaTeX source](#) is also available if you want to adapt the typography, cover, or page layout.

0.4 What a strong exam answer usually does

A well-developed exam answer:

- identifies the objective and the local context;
- uses a logical process rather than an isolated tactic;
- names the stakeholders and explains their roles;
- distinguishes facts, assumptions, risks, and trade-offs;
- addresses confidentiality, public interest, inclusion, and ethics;
- provides an implementation sequence, responsibilities, and resources;
- defines outputs, outcomes, and success measures;
- includes communication, monitoring, and a contingency path; and
- connects professional concepts to the candidate's own work experience.

0.5 Important limits

- This is not an official EDAC publication and is not endorsed by EDAC.
- It uses original explanations and purpose-built mock questions and links readers to EDAC for authoritative requirements and preparation resources.
- Mock questions use constructed study scenarios and figures developed from the guide's subject matter.
- Exam procedures, fees, contacts, delivery platforms, and eligibility rules can change. Verify them with EDAC before relying on them.

- Provincial and territorial planning law varies. Treat the planning chapter as a conceptual framework and verify the law in the relevant jurisdiction.
- Examples are fictional and are provided for learning only.

0.6 Learn more and references

Each substantive chapter ends with a **Learn more** section that connects its concepts to relevant public sources. The glossary pairs every term with its definition and public sources, while `14-public-sources-and-disclaimer.md` collects official examination, data, and contemporary-issue sources.

Definitions in this guide are plain-language study syntheses rather than quotations. When professional conventions differ, especially in financial ratios, SMART wording, pipeline stages, planning terminology, and evaluation language, the guide identifies the convention or asks the reader to state it explicitly.

0.7 Current exam information and public sources

The online requirements were checked on August 12, 2026. Candidates should confirm current eligibility and examination rules through EDAC's [Ec.D. Designation](#) and [Exam Preparation](#) pages. See the public sources and disclaimer for detailed references, interpretation notes, and limitations.

0.8 AI assistance acknowledgement

Xiao prepared the underlying study notes and made the final decisions about the guide's scope, content, and wording. OpenAI's Codex, using the GPT-5.6 model, helped turn those notes into a public study guide, research additional public sources, edit and format the Markdown and LaTeX files, and prepare the PDF edition.

AI-assisted content can contain errors or omissions. Xiao reviewed the guide and takes responsibility for its published content. Readers should continue to verify examination requirements and substantive information with EDAC and the cited public sources.

0.9 About the author and feedback

This guide was created by [Xiao](#), who publishes projects on GitHub as [B1ackCat7](#). Constructive feedback, corrections, comments, and professional connections are welcome. The easiest way to reach Xiao is through [LinkedIn](#).

0.10 Contributing

Corrections that improve accuracy, Canadian relevance, accessibility, or source quality are welcome through GitHub or [LinkedIn](#). Contributions must be original, respect examination integrity and copyright, and contain no confidential or personal information. Unless stated otherwise, contributions accepted into this repository are published under the same licence as the guide.

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Part I

Exam Preparation

Exam Overview

1.1 Current public eligibility requirements

As of August 12, 2026, EDAC's public [Ec.D. Designation page](#) and [Exam Preparation page](#) present the following baseline route:

1. Be an EDAC member in good standing.
2. Have at least three years of economic development experience.
3. Accumulate 45 professional-development points and have eligibility verified by EDAC.
4. Complete the certification process and pass the examination with at least 75%.

The designation page also describes alternative academic and experienced-professional routes. Requirements depend on the program completed, experience, and other conditions. After certification, annual membership and re-certification every three years are required to continue using the designation.

Use the certification and exam-preparation pages as starting points, not as an individual eligibility decision. Ask EDAC to confirm that a specific degree, program, experience record, and point total qualify. The public pages contain some inconsistent administrative details, so also confirm the current contact, fee, meeting platform, permitted materials, accommodation process, and scheduling instructions directly with EDAC.

1.2 Published exam structure

Section	Published format	Recommended maximum time	Marks
1	Multiple choice; answer every question	40 minutes	12
2(a)	Contemporary essay; maximum 3,000 words	70 minutes	15
2(b)	Eight short-answer sections, A through H; choose one of three questions in each section	160 minutes	64
Published written subtotal		270 minutes	91

The multiple-choice section awards 0.5 mark per question, which implies 24 questions. The short-answer section gives 8 marks to each of eight answers. Point form is permitted for the short answers, but the response must still answer every part of the prompt.

For the online examination, EDAC currently lists a webcam-enabled computer, a modern browser, stable internet, screen sharing, and Zoom. The three published written sections above total 270 minutes and 91 raw marks; the public pages do not clearly explain the current normalization or full-session timing. Confirm the scoring, schedule, breaks, and technical setup directly with EDAC because its public pages are not fully synchronized.

1.3 Published competency areas

EDAC's current designation page identifies three pillars:

- business retention and expansion;
- investment attraction; and
- strategic planning.

For study purposes, this guide organizes the broader professional knowledge base into seven technical and practical skill areas:

1. Economic Development Processes

- trade and investment
- business retention and expansion

2. Governance

- performance measures
- priority setting
- operational structures

3. Operations

- mentoring
- partnerships
- networking

4. Communications

- presentations
- media relations
- communications plans

5. Planning

- strategic planning
- municipal plans

6. Marketing/Sales

- marketing plans

- sales plans

7. Finance

- financial analysis
- budgeting
- impact analysis
- business planning

The public exam page does not label the eight short-answer sections or map them to named topics. Prepare across the full professional knowledge base, with particular fluency in the three current pillars. Treat business attraction and business retention and expansion as distinct applications.

1.4 Candidate agreement and result process

EDAC's [Policies](#) page says:

- exam marks are final and are provided only to the candidate;
- an unsuccessful candidate can re-write later and receives an overall critique of strengths and weaknesses;
- re-write arrangements and fees apply;
- passing the exam is followed by EDAC Board approval; and
- the designation should be used only after formal notification from EDAC.

Read the current policy before writing. Confirm current fees and administrative procedures directly with EDAC.

1.5 The exam is testing applied judgment

Each part of the exam tests a different ability:

- **Recall and discrimination:** recognize the best concept or process quickly.
- **Analysis:** connect a contemporary issue to local sectors, firms, workers, public finances, and community well-being.
- **Professional application:** propose a realistic process with stakeholders, resources, risks, and measures.
- **Communication:** explain the local economy clearly, accurately, and ethically under time pressure.

Knowledge matters, but a list of definitions is rarely enough. A dependable way to structure a response is:

Context -> objective -> evidence -> stakeholders -> options -> recommendation -> implementation -> measures -> risks and contingency

1.6 Items to confirm with EDAC

At least two weeks before the exam, confirm:

- the exact date, time zone, and delivery method;
- current contact and proctor details;
- exact fee and payment status;
- permitted notes, reference materials, calculator, and scratch paper;
- break rules;
- accessibility accommodations;
- identification requirements;
- browser, webcam, screen-sharing, and meeting software requirements;
- what happens after a technical interruption; and
- how the published written marks are normalized and how the full session is scheduled.

1.7 Learn more

- **EDAC — Ec.D. Designation:** public eligibility routes and designation expectations.
- **EDAC — Exam Preparation:** current public exam format, preparation guidance, timing, and technical information.
- **EDAC — Exam Policies:** candidate agreement, result process, re-write rules, and administrative requirements.
- **EDAC — Code of Ethics:** professional standards that should inform answers throughout the examination.

EDAC is the authority for current requirements. If its public pages differ, ask EDAC to confirm the rule that applies to you.



Study Plan and Exam Strategy

2.1 Build an evidence bank first

Exam answers are stronger when they draw on professional experience. Prepare a private evidence bank, and do not commit it to a public repository.

For each example, record:

Field	Notes to prepare
Situation	Community, sector, problem, and why it mattered
Evidence	Data, research, engagement, and assumptions
Role	What you personally did and what others did
Stakeholders	Internal, external, rights-holders, decision-makers, and affected groups
Decision	Options considered and recommendation made
Delivery	Resources, timeline, governance, and communication
Result	Outputs, outcomes, and what was measured
Reflection	What worked, what did not, ethics, equity, and what you would change

Remove client names and confidential details from any study notes that could be exposed during screen sharing.

2.2 Four-week plan

2.2.1 Week 1: Foundations and economic development processes

- Read the exam overview and current EDAC policies.
- Learn the role of the economic developer and the ethics principles.
- Compare attraction, retention and expansion, entrepreneurship, community development, and sector development.
- Build one business attraction example, one BR&E example, and one economic shock response.
- Complete two timed 20-minute short answers.

2.2.2 Week 2: Governance, operations, and communications

- Compare municipal, arm's-length, regional, and advisory structures.
- Practise a logic model and SMART measures.
- Review mentoring, partnerships, networking, and training.
- Draft a communications plan and a crisis-media response.
- Complete two short-answer drills and compare them with the quality checklist.

2.2.3 Week 3: Planning, marketing, and sales

- Learn the seven-step strategic planning cycle.
- Review the relationship between economic development, an official or municipal plan, and land-use regulation.
- Build a community profile and site-selection response checklist.
- Practise location quotient and shift-share interpretation.
- Write one 70-minute contemporary essay.

2.2.4 Week 4: Finance, integration, and simulation

- Review the three financial statements and the main ratio families.
- Practise budgeting, business planning, and development impact analysis.
- Complete formula drills without notes.
- Complete one timed written simulation using the purpose-built mock exam questions and current EDAC instructions.
- Review weak areas, then repeat a shorter mixed simulation.
- Refresh current events during the final week.

2.3 Two-week compressed plan

Day	Focus
1	Exam structure, ethics, role of the EDO
2	Attraction, trade, investment
3	BR&E, entrepreneurship, crisis response
4	Governance, structures, priority setting
5	Performance measurement and logic models
6	Operations, partnerships, networking

Day	Focus
7	Communications, media, public engagement
8	Strategic and land-use planning
9	Marketing, community profiles, site selection
10	Finance and statements
11	Ratios, budgeting, impact analysis
12	Contemporary essay and mixed question practice
13	Full simulation
14	Error review, light recall, technical check

2.4 Daily study loop

Use a 60- to 90-minute loop:

1. **Recall for 10 minutes:** write what you remember without notes.
2. **Learn for 20 to 30 minutes:** read one focused section.
3. **Apply for 20 minutes:** answer one scenario in point form.
4. **Check for 10 minutes:** compare the response to the competency checklist.
5. **Explain for 5 minutes:** teach the concept aloud in plain language.

Spaced recall and application are more useful than repeatedly rereading the same chapter.

2.5 Time strategy

2.5.1 Multiple choice: 40 minutes

- Average available time is about 100 seconds per question.
- Answer every question.
- First pass: answer clear questions and flag uncertain ones.
- Second pass: eliminate options that conflict with ethics, evidence, role clarity, or a complete process.
- Do not spend several minutes defending one half-mark answer.

2.5.2 Contemporary essay: 70 minutes

- 5 minutes: choose the issue and define the local context.
- 8 minutes: outline the thesis, impact channels, sectors, response, partners, and measures.
- 50 minutes: write.
- 7 minutes: check completeness, logic, and clarity.

Build the essay in this order:

1. event and thesis;
2. local exposure and baseline;
3. impact pathways;
4. affected sectors, firms, workers, and residents;
5. actions already taken or recommended;
6. partners, resources, and communication;
7. measures, risks, equity, and next steps.

2.5.3 Eight short answers: 160 minutes

Budget 20 minutes per answer:

- 2 minutes to choose one of the three questions and identify every verb;
- 15 minutes to write a structured point-form answer; and
- 3 minutes to check that all parts were answered.

Do not borrow time from later answers unless you have a clear recovery plan. Eight complete answers usually outperform several polished answers and one unfinished response.

2.6 Decoding question verbs

Verb	What the marker needs
Identify	A relevant list, usually concise
Describe	Characteristics or sequence with enough detail to understand
Explain	Cause, reason, or mechanism
Compare	Similarities, differences, and implications
Analyze	Components, relationships, evidence, and consequences
Evaluate	Criteria, benefits, risks, trade-offs, and judgment
Recommend	A decision, rationale, implementation, and measures

Verb	What the marker needs
Develop	A coherent plan with roles, sequence, resources, and controls

Circle or note every instruction. A prompt that says "identify stakeholders and explain their roles" needs both names and roles.

2.7 Short-answer quality checklist

Before submitting, ask:

- Did I answer the exact question?
- Did I organize the response around a process?
- Did I name specific stakeholders and assign roles?
- Did I use current and defensible evidence?
- Did I address confidentiality, conflicts, public interest, and inclusion?
- Did I distinguish municipal authority from partner authority?
- Did I include resources, timing, and responsibility?
- Did I define outputs and outcomes?
- Did I acknowledge risks and a contingency?
- Did I connect the concept to practice?

2.8 Learn more

- **EDAC – Exam Preparation:** use the current published structure to shape timed practice.
- **EDAC – Exam Policies:** confirm current candidate, technical, result, and re-write requirements.
- **Treasury Board of Canada Secretariat – Evaluation 101:** a useful primer for organizing answers around inputs, activities, outputs, and outcomes.
- **Glossary with definition sources:** review unfamiliar terminology and follow the external references before practising.

Foundations and Ethics

3.1 A working definition

Economic development is a deliberate, evidence-informed process that improves a community's economic well-being and resilience. It can include job creation and retention, income and productivity growth, entrepreneurship, investment, tax-base development, infrastructure, workforce development, sector development, and quality of life.

No single program works everywhere. The appropriate strategy depends on local assets, constraints, institutions, geography, rights, risks, and community priorities.

3.2 Role of the economic developer

An economic developer may act as:

- analyst and researcher;
- adviser to public decision-makers;
- business navigator and problem solver;
- facilitator and consensus builder;
- connector among firms, governments, institutions, and community organizations;
- project manager;
- investment marketer and salesperson;
- advocate for a competitive and fair business environment;
- communicator and spokesperson, subject to organizational policy;
- steward of public resources and confidential information; and
- ethical ambassador for the profession.

The role is usually to enable and coordinate decisions, not to make every decision. Land-use approvals, budgets, grants, procurement, incentives, and corporate investments each have their own authority.

3.3 Core functions

Economic development work commonly includes:

- business attraction;
- business retention and expansion;
- business support and entrepreneurship;
- business advocacy;
- community development;
- sector development;
- communication and collaboration;
- marketing;
- research and analysis; and
- ethical professional conduct.

These functions should reinforce one another. For example, BR&E intelligence can reveal workforce gaps, guide a sector strategy, improve a community profile, and generate qualified attraction leads.

3.4 Public value and the triple lens

A recommendation should consider:

- **Economic:** jobs, incomes, productivity, investment, diversification, tax base, and business viability.
- **Social:** inclusion, accessibility, housing, services, health, distributional effects, and community cohesion.
- **Environmental:** land, water, emissions, climate risk, infrastructure resilience, and cumulative effects.

The goal is development that is lawful, ethical, financially sustainable, aligned with community objectives, and resilient over time, rather than growth at any cost.

3.5 EDAC Code of Ethics: study themes

Read the current [EDAC Code of Ethics](#) in full. The following is a study summary, not a replacement:

- protect the reputation of the profession and serve the public interest;
- maintain competent and current professional knowledge;
- compete fairly and reject deception;
- disclose or avoid interests and relationships that impair, or appear to impair, objectivity;

- protect confidential information and never exploit it for personal advantage;
- act honestly and with integrity;
- improve the profession through research and knowledge sharing;
- treat colleagues and participants with respect;
- demonstrate good citizenship;
- reject bullying, harassment, and sexual harassment;
- follow EDAC bylaws, policies, and professional rules; and
- accept that breaches may lead to discipline.

3.6 Common ethical scenarios

3.6.1 Confidential expansion

A firm reveals an unannounced expansion and possible land purchase.

Response priorities:

1. clarify what is confidential and who is authorized to receive it;
2. store and share information on a need-to-know basis;
3. explain public-sector approval and disclosure limits honestly;
4. avoid promising an outcome outside your authority;
5. separate the firm's private information from aggregate BR&E reporting; and
6. document commitments and follow-up.

3.6.2 Conflict of interest

An EDO or board member has a personal relationship with a developer.

Response priorities:

1. disclose the actual, potential, or perceived conflict;
2. follow the organization's conflict policy;
3. recuse the affected person where required;
4. preserve an independent, documented decision process; and
5. avoid preferential access or information.

3.6.3 Incentive competition

A prospect requests an incentive while comparing multiple communities.

Response priorities:

- apply a published, lawful, and consistent policy;
- assess incremental public benefit and opportunity cost;
- consider performance conditions, clawbacks, and monitoring;
- avoid misleading claims or disparaging competing communities;
- protect negotiating information while meeting public accountability requirements; and
- recommend only what produces acceptable risk-adjusted public value.

3.6.4 Pressure to overstate data

A decision-maker asks for a stronger number than the evidence supports.

Response priorities:

- report the best available data and its source date;
- state assumptions, range, and limitations;
- separate observed results from estimates and projections;
- offer scenarios rather than false precision; and
- document professional advice.

3.7 Ethical decision framework

Use this sequence:

1. **Facts:** What is known, unknown, confidential, or disputed?
2. **Authority:** Who has the legal and organizational mandate?
3. **Stakeholders and rights-holders:** Who benefits, bears risk, or has rights that must be respected?
4. **Duties:** What do law, policy, contract, and the code require?
5. **Options:** What reasonable courses of action exist?
6. **Impacts:** What are the economic, social, environmental, fiscal, and reputational effects?
7. **Fairness:** Is the process consistent, transparent where possible, and free from improper influence?
8. **Decision:** What option best serves the public interest while respecting legitimate private interests?

9. **Record:** What rationale, approvals, conditions, and follow-up must be documented?

3.8 Exam application

Apply ethics throughout the exam, not only in a standalone ethics answer. Connect it naturally to other topics:

- BR&E: confidentiality and aggregated reporting;
- site selection: accurate data and fair dealing;
- governance: conflicts, accountability, and role clarity;
- partnerships: procurement, risk allocation, and public interest;
- communications: accuracy, privacy, and authorized spokespersons;
- engagement: inclusion, transparency, and clear influence over the decision;
- finance: defensible assumptions and disclosure of limitations; and
- performance: honest attribution and reporting of both successes and failures.

3.9 Learn more

- EDAC — Code of Ethics: the primary professional reference for this chapter.
- Treasury Board of Canada Secretariat — Values and Ethics Code for the Public Sector: public-interest, integrity, stewardship, and conflict principles.
- Innovation, Science and Economic Development Canada — SME Sustainability Roadmap: economic, environmental, and social dimensions of responsible business.
- Justice Canada — Consultation terminology: legal context for Indigenous consultation and rights-holder terminology.

For definitions of conflict of interest, equity, rights-holder, stakeholder, and triple bottom line, see the glossary.

Part II

Professional Practice

Economic Development Processes

4.1 Portfolio approach

Most communities need a mix of:

- retention and expansion of existing firms;
- entrepreneurship and small business support;
- attraction of compatible investment;
- workforce and talent development;
- sector and cluster development;
- export development and market diversification;
- infrastructure and site readiness;
- downtown, rural, tourism, or community development as locally relevant; and
- research, policy, and advocacy.

Attraction is visible, but existing firms and entrepreneurs often provide more immediate intelligence and attainable opportunities. Avoid relying on an unverified percentage claim about where "most" jobs come from. Use current local and national evidence.

4.2 Business attraction and investment

Business attraction is the process of identifying and converting investment opportunities that fit the community.

4.2.1 Readiness before promotion

Confirm:

- available, correctly zoned land and buildings;
- ownership, price, constraints, and development timeline;
- infrastructure capacity and upgrade responsibility;
- transportation and digital connectivity;
- labour force, occupations, wages, commuting, and training capacity;

- supply chain and market access;
- permitting and approval processes;
- taxes, fees, and lawful incentives;
- environmental, archaeological, and servicing considerations;
- housing, health, education, and other quality-of-life factors;
- community support and compatibility; and
- a fast, confidential response process.

4.2.2 Targeting process

1. Establish community goals and screening criteria.
2. Analyze local strengths, gaps, risks, and sector trends.
3. Identify sectors and business functions that fit the assets.
4. Select geographic markets and decision-makers.
5. Develop an evidence-based value proposition.
6. Choose lead-generation and relationship tactics.
7. Qualify prospects before spending heavily.
8. Prepare sites, data, partners, and response protocols.
9. Manage the prospect through inquiry, site visit, due diligence, decision, and implementation.
10. Track conversion, investment, outcomes, and aftercare.

4.2.3 Qualifying a lead

Ask:

- Is there a verified investment project?
- What business function, scale, capital, employment, and timing are involved?
- What are the must-have and preferred criteria?
- Who is the decision-maker and who represents the prospect?
- Is confidentiality required?
- What locations are being considered?
- What information or action is needed next?
- Does the project fit community objectives and risk tolerance?

Distinguish:

- **Contact:** a person or organization in the network.
- **Lead:** a possible opportunity with limited validation.
- **Prospect:** a target or lead that merits active follow-up.
- **Qualified project:** a verified investment with criteria, authority, and timing.
- **Completed investment:** a project that has reached the locally defined completion milestone.

4.3 Trade and global investment

Global events reach a community through both inputs and outputs.

4.3.1 Impact channels

- export demand and market access;
- tariffs and non-tariff barriers;
- imported input price and availability;
- exchange rates;
- commodity and energy prices;
- interest rates and access to capital;
- foreign direct investment;
- tourism and travel flows;
- labour and immigration;
- technology and productivity;
- transportation and logistics; and
- confidence and expectations.

4.3.2 Analysis sequence

1. Map local firms, sectors, employment, ownership, inputs, customers, and markets.
2. Identify exposure to the event.
3. Separate immediate, medium-term, and structural effects.
4. Identify winners, losers, and distributional effects.
5. Validate with firms, workers, institutions, and current data.

6. Match problems to the correct municipal, provincial, territorial, federal, or private response.
7. Communicate clearly without overstating certainty.
8. Monitor leading indicators and adapt.

Currency effects are not one-directional. A lower Canadian dollar may support some exporters and Canadian tourism while raising the cost of imported inputs. Analyze the actual business model.

4.4 Business retention and expansion

BR&E is an ongoing, confidential relationship and intelligence process designed to help existing firms remain competitive, resolve barriers, expand, and invest.

4.4.1 Objectives

Short-term objectives:

- build trusted relationships;
- create or improve a business database;
- identify urgent issues and expansion opportunities;
- improve two-way communication; and
- coordinate timely support.

Long-term objectives:

- improve firm competitiveness and resilience;
- retain and create quality employment;
- strengthen supply chains and sector ecosystems;
- improve the local business climate;
- diversify the economy; and
- inform strategy, policy, infrastructure, workforce, and attraction.

4.4.2 Ten-step BR&E process

1. Define objectives, scope, privacy rules, and success measures.
2. Establish leadership, delivery roles, and a resource network.
3. Build and segment the business universe.
4. Select firms using a transparent method and a useful sector/size mix.

5. Design and test a concise survey and interview guide.
6. Train interviewers in listening, confidentiality, escalation, and record keeping.
7. Conduct visits and distinguish urgent issues from strategic intelligence.
8. Triage individual issues and analyze aggregate patterns.
9. Develop, resource, and implement an action plan.
10. Report aggregate findings, close the feedback loop, measure outcomes, and continue regular visits.

4.4.3 Issue triage

Use categories such as:

- immediate risk of closure or job loss;
- expansion or investment opportunity;
- workforce;
- financing;
- market or export development;
- property, infrastructure, or utilities;
- permitting and regulation;
- succession and ownership transition;
- innovation, technology, or productivity;
- supply chain; and
- referral or information request.

Assign an owner, next action, due date, confidentiality level, and status. Do not promise that every issue will be resolved.

4.4.4 Confidentiality controls

- explain the purpose and use of information before the interview;
- obtain appropriate consent;
- restrict access to firm-level records;
- report only aggregated or sufficiently anonymized findings;
- avoid elected-official participation in visits unless the firm is comfortable;
- separate service records from public reporting; and
- follow applicable privacy, records, and freedom-of-information requirements.

4.5 Entrepreneurship and business support

Common interventions include:

- navigation and referrals;
- business planning and financial literacy;
- mentoring and peer networks;
- incubators, accelerators, and shared space;
- market access and procurement readiness;
- financing and investor connections;
- succession planning;
- innovation, commercialization, and productivity support;
- digital adoption; and
- regulatory and permit navigation.

Match the intervention to the business stage. A start-up, a scaling firm, a distressed business, and a succession candidate require different support.

4.6 Sector and cluster development

A sector strategy should:

1. define the sector and geography;
2. map firms, institutions, workers, suppliers, customers, infrastructure, and research assets;
3. measure concentration, growth, productivity, exports, and risk;
4. engage sector participants;
5. identify shared constraints and opportunities;
6. prioritize interventions;
7. assign partners, resources, and timing; and
8. monitor outcomes and revisit assumptions.

An industry can have a high location quotient but be declining. It can have a low location quotient but be growing quickly. Combine quantitative measures with firm intelligence and community priorities.

4.7 Economic shock and recovery framework

For a closure, disaster, trade shock, infrastructure failure, or public-health event:

1. activate the appropriate emergency or corporate structure;
2. define the event, geography, sectors, and time horizon;
3. establish a baseline and rapid intelligence process;
4. identify affected businesses, workers, residents, and critical services;
5. communicate verified information and available supports;
6. stabilize urgent needs;
7. coordinate workforce, finance, supply-chain, and market responses;
8. develop recovery and diversification actions;
9. monitor leading and lagging indicators; and
10. capture lessons and improve resilience plans.

The EDO coordinates economic recovery but does not replace emergency management, public health, social services, or other authorities.

4.8 Measures

Track a mix of:

- firms contacted and response rate;
- issues identified, resolved, and time to resolution;
- expansions and investments supported;
- jobs retained and created, with method and confidence level;
- referrals and partner contributions;
- firms entering new markets;
- productivity, innovation, and training outcomes;
- closures, layoffs, and risk signals;
- client satisfaction and trust; and
- policy, infrastructure, or program changes resulting from aggregate intelligence.

4.9 Learn more

- Ontario — Business Retention and Expansion Program: a Canadian public-sector BR&E framework.
- World Bank — Investment Policy and Promotion: investment attraction, facilitation, retention, and expansion.
- OECD — Benchmark Definition of Foreign Direct Investment: concepts and definitions for FDI.
- U.S. Economic Development Administration — Economic Development Glossary: clusters, resilience, and related economic-development concepts.
- U.S. Economic Development Administration — Economic Resilience: preparedness, diversification, response, and recovery.

Pipeline terms such as lead, prospect, and project vary among organizations. Define each stage and qualification rule before reporting conversion.



Governance and Performance

5.1 Governance is an operating system

Governance defines:

- mandate and strategic direction;
- authority and accountability;
- board, council, committee, and staff roles;
- decision and reporting processes;
- funding and risk oversight;
- conflicts and ethical controls; and
- relationships with partners and the public.

A structure without a clear mandate, strategy, resources, authority, and reporting relationship will underperform even if it has talented people.

5.2 Common structures

Structure	Potential strengths	Common risks
Municipal department	Stable access to corporate services, policy alignment, direct accountability	Political cycles, slower decisions, unclear boundaries with other departments
Arm's-length corporation or agency	Business-led governance, specialized delivery, potential operating flexibility	Overhead, funding insecurity, accountability or procurement ambiguity
Regional partnership	Larger asset base, shared cost, broader labour and supply-chain view	Multiple funders, competing priorities, lead-sharing disputes, complex reporting
Advisory committee	Low cost, community input, political buffer, support to staff	Limited authority, volunteer capacity, unclear role, risk of operational interference

There is no universally correct model. Select a structure based on goals, scale, geography, legislation, funding, partner capacity, and the need for confidentiality and speed.

5.3 Principles for a sound structure

1. Include the groups needed for the economic development process.
2. Coordinate the major economic development efforts in the community.
3. Include formal decision-makers and credible community leaders.
4. Give the governing body enough attention and authority to act within its mandate.
5. Balance continuity with renewal, diversity, and succession.
6. Meet regularly and maintain active participation.
7. Provide adequate funding, a clear mandate, strategy, and terms of reference.
8. Do not consume staff capacity that should serve clients and deliver the strategy.

Sound governance also covers accessibility, inclusion, Indigenous rights and relationships, risk oversight, data governance, and transparent conflict-of-interest controls.

5.4 Board, council, and staff roles

5.4.1 Governing body

- approves mandate, strategy, policy, budget, and risk tolerance;
- appoints or supervises senior leadership as applicable;
- monitors outcomes and financial stewardship;
- manages conflicts and accountability; and
- represents the organization's legitimacy.

5.4.2 Economic development staff

- provide evidence and professional advice;
- design and deliver programs;
- manage clients, projects, data, and partners;
- implement approved strategy and budget;
- report performance and risk; and
- maintain professional competence and ethics.

The board governs; staff manage and deliver. Individual board members should not direct staff or promise client outcomes unless formally authorized.

5.5 Priority setting

Use a transparent scoring method. Possible criteria:

- strategic fit;
- evidence of need or opportunity;
- economic, social, and environmental impact;
- equity and inclusion;
- feasibility and organizational capacity;
- partner readiness;
- cost and funding;
- risk and reversibility;
- time to benefit;
- additionality;
- community support; and
- ability to measure results.

Document the weighting and assumptions. A scoring tool supports judgment; it does not replace it.

5.6 Logic model

Element	Question	Example
Inputs	What resources are used?	Staff time, budget, data, partner expertise
Activities	What do we do?	Firm visits, workshops, site preparation
Outputs	What is delivered?	Visits completed, firms served, sites profiled
Short-term outcomes	What changes first?	Better intelligence, resolved barriers, new skills
Intermediate outcomes	What changes next?	Firm expansion, investment decisions, market entry
Long-term outcomes	What public value results?	Resilience, quality jobs, incomes, diversification

Do not confuse activity with impact. Ten meetings are an output; a resolved workforce barrier is an outcome.

5.7 SMART measures

Measures should be:

- **Specific:** clearly defined;
- **Measurable:** supported by a reliable collection method;
- **Achievable:** realistic but meaningful;
- **Relevant:** connected to the mandate and strategy; and
- **Time-bound:** attached to a reporting period or deadline.

Also ask whether the measure is attributable, timely, comparable, affordable to collect, privacy-safe, and resistant to gaming.

5.8 Performance framework

Track measures across four levels:

5.8.1 Activity and service

- inquiries and response time;
- business visits;
- prospects and qualified projects;
- workshops and participants;
- referrals and issue-resolution cases.

5.8.2 Conversion and effectiveness

- contact-to-project conversion;
- project-to-investment conversion;
- expansions completed;
- issues resolved;
- client satisfaction;
- cost per qualified project or completed outcome.

5.8.3 Economic outcomes

- capital investment;
- jobs retained or created;
- wage or job-quality measures;
- assessment or tax-base change;
- business starts, survival, and closures;
- exports, productivity, or market diversification.

5.8.4 Community outcomes

- economic diversification;
- inclusion and distribution of benefits;
- housing and infrastructure capacity;
- downtown occupancy;
- resilience and climate readiness;
- resident or business confidence.

5.9 Attribution and additionality

Economic results have many causes. Interest rates, exchange rates, business cycles, firm decisions, and other governments can dominate local efforts.

Report:

- **Contribution:** what the organization did that plausibly helped.
- **Attribution:** what can reasonably be assigned to the program.
- **Additionality:** what likely would not have occurred, or would have occurred later or at smaller scale, without the intervention.
- **Deadweight:** benefits that likely would have happened anyway.
- **Displacement:** activity moved from elsewhere rather than newly created.
- **Leakage:** benefits that flow outside the intended community.

Use confidence levels or ranges rather than claiming every announced job as fully caused by the EDO.

5.10 Evaluation cycle

1. Define the decision the evaluation must inform.
2. Confirm the program theory and baseline.
3. Choose measures and collection responsibilities.
4. Establish data quality, privacy, and reporting rules.
5. Monitor implementation.
6. Compare results with target, baseline, and relevant peers.
7. Explain variance and external factors.
8. Decide whether to continue, change, scale, or stop.
9. Communicate results honestly.

5.11 Governance answer pattern

Structure a governance response in this order:

1. diagnose the mandate and accountability problem;
2. map authorities and stakeholders;
3. present viable structure options;
4. compare benefits, risks, cost, and speed;
5. recommend a structure and transition;
6. define board and staff roles;
7. add funding, conflict, confidentiality, and reporting controls; and
8. define outcomes and a review date.

5.12 Learn more

- Treasury Board of Canada Secretariat — Evaluation 101: logic models, theories of change, and results chains.
- Treasury Board of Canada Secretariat — Policy on Results glossary: Canadian federal performance and evaluation terminology.
- OECD — Glossary of Key Terms in Evaluation and Results-Based Management: internationally used definitions of activities, outputs, outcomes, impacts, and evaluation.
- UK Government — The Green Book: additionality, deadweight, displacement, leakage, appraisal, and evaluation.

- Treasury Board of Canada Secretariat — Guiding Principles for the Management of Crown Corporations: arm's-length governance and accountability.

SMART wording varies across sources. This guide uses specific, measurable, achievable, relevant, and time-bound; identify the version you use rather than treating another established variant as automatically wrong.

Operations, Partnerships, and Networking

6.1 Mentoring

Mentoring pairs experience with a development need. It should support capability and judgment rather than create dependency.

6.1.1 Common forms

- **Casual:** learning from observed behaviour without a formal arrangement.
- **Informal:** a relationship that develops naturally.
- **Structured, non-facilitated:** mentor and mentee set goals and expectations directly.
- **Facilitated:** a coordinator recruits, matches, supports, and evaluates pairs.
- **Group:** mentors support a group with shared needs.
- **Multiple mentor:** a mentee works with different mentors for different capabilities.

6.1.2 Program design

1. Define target users, needs, and outcomes.
2. Recruit suitable mentors and screen conflicts.
3. Set boundaries, confidentiality, duration, and escalation rules.
4. Match on goals, sector, experience, and working style.
5. Create a learning agreement and meeting rhythm.
6. Provide orientation and resources.
7. Check progress without intruding on confidential discussion.
8. Recognize contributions and evaluate outcomes.

Mentoring is not therapy, professional legal/accounting advice, a guarantee of financing, or a power relationship. Refer specialized issues to qualified professionals.

6.2 Partnerships

Economic development normally requires municipalities, other governments, Indigenous communities and organizations, firms, sector groups, educational institutions, workforce agencies, utilities, financial institutions, non-profits, and residents.

6.2.1 Partnership test

Before forming a partnership, ask:

- Is there a shared problem or opportunity?
- Does each partner add authority, assets, expertise, trust, reach, or funding?
- Are interests compatible enough to act?
- Are roles, decisions, resources, risks, data, and public communication clear?
- Is a partnership better than a contract, referral, consultation, or informal network?
- How will success, disputes, change, and exit be handled?

6.2.2 Partnership agreement checklist

- purpose, scope, and intended outcomes;
- partners and authorized representatives;
- governance and decision rules;
- roles and deliverables;
- financial and in-kind contributions;
- timeline and milestones;
- intellectual property and data;
- privacy and confidentiality;
- communications and branding;
- procurement and conflict rules;
- risk allocation and insurance;
- measurement and reporting;
- dispute resolution, amendment, and termination.

A RACI table can clarify delivery roles:

- **Responsible:** does the work.

- **Accountable:** owns the result and approves.
- **Consulted:** provides input before the action.
- **Informed:** receives updates.

Only one role should normally be accountable for a deliverable.

6.3 Public-private partnerships

A public-private partnership allocates the design, construction, financing, operation, maintenance, or ownership of a public asset or service among public and private parties.

Potential benefits:

- specialized expertise;
- lifecycle integration;
- schedule discipline;
- access to capital;
- risk transfer where the private partner can manage the risk;
- innovation and service improvements.

Potential risks:

- loss of public control;
- higher financing or transaction cost;
- weak competition;
- inflexible long-term terms;
- unclear accountability;
- optimistic demand assumptions;
- risk nominally transferred but ultimately borne by taxpayers;
- inequitable access or user fees.

A sound evaluation includes public-interest objectives, full lifecycle cost, value-for-money comparison, procurement integrity, risk allocation, performance standards, affordability, transparency, contract management capacity, and exit provisions.

Government remains accountable for protecting the public interest even when delivery is contracted.

6.4 Stakeholder and rights-holder mapping

Map:

- decision authority;
- legal or constitutional rights;
- degree of impact;
- interest and influence;
- knowledge and resources;
- trust and relationship history;
- preferred form of engagement;
- potential conflict or alignment.

Indigenous governments and communities are rights-holders, not merely another stakeholder category. Determine the applicable legal duties, jurisdiction, protocols, and relationship expectations early.

6.5 Networking

Networking builds working relationships. Collecting contacts alone is not enough.

6.5.1 Effective cycle

1. Define the purpose and the people relevant to it.
2. Research their role and interests.
3. Offer a clear, useful introduction.
4. Listen for needs and possible mutual value.
5. Record commitments with appropriate privacy.
6. Follow up promptly.
7. Provide value before asking for repeated help.
8. Maintain the relationship over time.

Build connections across:

- local business and sector networks;
- provincial and territorial associations;
- EDAC and other professional groups;
- regional development agencies;

- site selectors and real-estate professionals;
- workforce and education partners;
- trade and investment representatives;
- utilities, ports, airports, and transportation providers;
- Indigenous economic development organizations; and
- peers in comparable communities.

Track relationship quality and outcomes, not only event attendance.

6.6 Training and continuous development

An EDO needs:

- current economic and business knowledge;
- research, data, and financial skills;
- facilitation and engagement;
- project and risk management;
- writing, media, presentation, and negotiation;
- land-use and municipal process knowledge;
- privacy, ethics, accessibility, and inclusion;
- digital, cybersecurity, and AI literacy; and
- sector-specific knowledge.

A personal development plan should record:

Capability	Current level	Evidence	Gap	Action	Deadline
Example: financial analysis	Working	Can interpret statements	Ratio speed	Weekly drills	Month end

EDAC currently requires annual membership and re-certification every three years to maintain use of the Ec.D. designation. Verify current requirements on the [Re-certification page](#).

6.7 Downtown redevelopment stakeholder example

Possible participants and roles:

- council: mandate, budget, and policy decisions;
- economic development: business intelligence, coordination, investment, and implementation;
- planning/building: policy, zoning, permits, design, and compliance;
- finance: fiscal analysis and funding;
- engineering/public works: infrastructure and phasing;
- communications: public information and media;
- Indigenous rights-holders: rights, interests, knowledge, and partnership;
- property and business owners: operational realities, investment, and delivery;
- residents and community organizations: needs, impacts, ideas, and legitimacy;
- accessibility, housing, heritage, environmental, and social-service groups: specialized impacts;
- developers, investors, and lenders: feasibility, capital, and construction;
- utilities and transportation providers: capacity and network changes;
- educational institutions and workforce partners: talent and programming.

The response should also explain engagement method, decision authority, conflict management, phasing, business-disruption mitigation, financing, measures, and communication.

6.8 Learn more

- Justice Canada — Three Years On: Mentoring: mentoring as a learning relationship and organizational practice.
- Infrastructure Ontario — Public-private partnerships frequently asked questions: Canadian P3 delivery and risk-allocation context.
- Justice Canada — Consultation terminology: consultation and accommodation terminology in the Indigenous rights context.
- Language Portal of Canada — Rethinking the word “stakeholder”: why Indigenous Peoples should not be reduced to a stakeholder category.
- EDAC — Ec.D. Re-certification: verify current continuing-membership and re-certification requirements.

Stakeholder engagement does not replace legal duties, government-to-government relationships, or distinctions among Indigenous nations and rights-holding collectives.

Communications and Public Engagement

7.1 Communication plan

Plan the communication before choosing channels. Cover:

1. **Situation:** decision, issue, context, evidence, and sensitivities.
2. **Objectives:** what the audience should know, feel, or do.
3. **Audiences:** affected groups, rights-holders, decision-makers, partners, media, and internal staff.
4. **Research:** public environment, stakeholder intelligence, media scan, and misinformation risks.
5. **Messages:** a few accurate, audience-relevant points with supporting facts.
6. **Channels:** direct contact, web, email, meeting, media, social, print, or partner channels.
7. **Timing:** sequence, dependencies, approvals, and response windows.
8. **Roles:** author, approver, spokesperson, monitor, and responder.
9. **Accessibility and language:** format, disability access, literacy, official languages, translation, and cultural relevance.
10. **Risk and response:** confidentiality, legal constraints, controversy, errors, and escalation.
11. **Measurement:** reach, understanding, participation, sentiment, action, and response time.

Ask:

- Are the decision and degree of public influence clear?
- Are departments and partners coordinated?
- Are the messages accurate, defensible, and approved?
- Does each priority audience have a suitable channel?
- Can people respond or ask questions?
- Are privacy, records, and accessibility requirements met?

7.2 Message map

Use one central message supported by three points:

Central message: What happened, why it matters, and what is being done.

- Supporting point 1: evidence and context.
- Supporting point 2: action and responsibility.
- Supporting point 3: timing, support, or next step.

Prepare proof, examples, and likely questions for each supporting point.

7.3 Media relations

7.3.1 Before an interview

- follow the organization's spokesperson and approval policy;
- clarify outlet, reporter, topic, format, deadline, and other sources;
- identify the audience and likely angle;
- verify facts and source dates;
- prepare three key messages and difficult questions;
- determine what is confidential or outside your authority;
- arrange an appropriate setting and technical setup; and
- decide who will follow up with supporting material.

Assume anything said may be used. Do not rely on "off the record" to protect confidential information.

7.3.2 During an interview

- be accurate, direct, respectful, and concise;
- lead with the most important point;
- use plain language and define technical terms;
- answer the question, then bridge to the key message where appropriate;
- correct a false premise calmly;
- say when you do not know and commit only to follow-up you can deliver;
- explain when law, privacy, or commercial confidentiality prevents comment;
- do not speculate; and

- stop when the answer is complete.

7.3.3 After an interview

- provide promised information promptly;
- record material commitments;
- notify affected partners before coverage triggers inquiries;
- monitor for factual errors;
- request a factual correction calmly when necessary; and
- evaluate whether the message was understood.

7.4 Crisis communication

For a closure, layoff, disaster, cyber incident, trade shock, or controversial project:

1. activate the authorized response structure;
2. verify the known facts and unknowns;
3. identify affected groups and urgent needs;
4. coordinate one source of truth;
5. state what happened, what is being done, and when the next update will occur;
6. protect personal, security, and commercial information;
7. monitor misinformation and operational feedback;
8. update regularly, even when little has changed; and
9. transition from incident information to recovery support.

Empathy is not an admission of liability. Acknowledge impact on people and businesses.

7.5 Written communication

Effective reports and briefings:

- put the decision or conclusion first;
- distinguish background from analysis;
- use headings that match the reader's questions;
- cite data and dates;

- explain assumptions and uncertainty;
- compare options using consistent criteria;
- make the recommendation explicit;
- assign actions, timing, resources, and measures; and
- use accessible plain language.

A council or board report often follows:

Purpose -> recommendation -> background -> analysis and options -> financial/risk implications -> engagement -> implementation -> attachments

7.6 Presentations

7.6.1 Format

- one-to-one: use dialogue and adapt to the listener;
- small group: involve participants and manage differing interests;
- large group: create a clear narrative and maintain attention;
- online: use vocal signposting, shorter segments, and deliberate interaction.

7.6.2 Audience

- receptive: do not assume agreement; still provide evidence;
- challenging: answer questions and demonstrate reasoning;
- hostile: remain calm, acknowledge concerns, enforce respectful rules, and do not overpromise.

7.6.3 Structure

1. opening: purpose and why it matters;
2. roadmap: what will be covered;
3. evidence: a few relevant facts;
4. analysis: implications and trade-offs;
5. recommendation or request;
6. next steps;
7. conclusion that repeats the main point.

The goal is audience understanding and retention, not display of every fact collected.

7.7 Public engagement

Providing information alone does not create engagement.

7.7.1 Levels

- **Inform:** a decision is made; the purpose is clear, accessible explanation.
- **Consult:** gather feedback before a decision.
- **Involve:** participants help define issues, criteria, or options.
- **Collaborate:** participants share development of recommendations.
- **Empower:** formal authority is delegated where law permits.

State what is open to influence and what is not. Do not invite participation if the decision is already fixed and present the session as engagement.

7.7.2 Engagement design

1. define the decision and authority;
2. identify affected groups and rights-holders;
3. assess barriers, trust, and engagement history;
4. choose the appropriate level and methods;
5. provide balanced information early enough to use;
6. make participation accessible and safe;
7. record input accurately;
8. analyze themes without erasing minority views;
9. show how input affected the decision; and
10. evaluate reach, representation, quality, and trust.

Possible methods include interviews, surveys, focus groups, workshops, roundtables, advisory groups, public meetings, online tools, and community-led processes.

7.8 Digital and social channels

Platform popularity changes. Choose channels based on audience and purpose rather than memorizing platform statistics.

Controls should cover:

- authorized accounts and administrator access;
- records retention;
- privacy and consent;
- accessibility and captions;
- moderation and respectful conduct;
- security and multi-factor authentication;
- response time and escalation;
- separation of personal and organizational accounts;
- account continuity when staff leave;
- misinformation and correction protocol;
- measurement tied to objectives.

Social media complements a maintained website and direct relationships. It does not replace a reliable source of official information.

7.9 Communications answer pattern

Build a communications response around:

1. identify the issue and authority;
2. establish objective and audiences;
3. gather and verify facts;
4. develop messages;
5. choose channels and engagement level;
6. assign approvals and spokespersons;
7. address confidentiality, accessibility, and risk;
8. set timing and feedback loops; and
9. measure understanding and action.

7.10 Learn more

- Health Canada and Public Health Agency of Canada — Guidelines on Public Engagement: planning, conducting, reporting, and evaluating engagement.
- Health Canada and Public Health Agency of Canada — Public engagement glossary: engagement and stakeholder terminology.
- Justice Canada — Consultation terminology: distinguish public engagement from the Crown’s legal consultation obligations.
- Accessibility Standards Canada — CAN-ASC-3.1:2025 Plain Language: principles and requirements for communication that audiences can find, understand, and use.
- EDAC — Code of Ethics: accuracy, confidentiality, integrity, and professional conduct.

Use stakeholder for affected or interested parties where appropriate, but not as a substitute for Indigenous rights-holder.

Planning and Land Use

8.1 Strategic economic planning

A strategy aligns evidence, priorities, resources, actions, and measurement.

8.1.1 Seven-step cycle

1. Set broad goals and objectives.
2. Complete a SWOT or comparable evidence-based assessment.
3. Identify strategic alternatives.
4. Select specific objectives and priorities.
5. Develop and implement action plans.
6. Develop contingencies.
7. Monitor, evaluate, learn, and update.

The process is iterative. A final document is the beginning of implementation, not the end of planning.

8.2 Evidence for the strategy

Analyze:

- population, migration, households, and demographics;
- labour force, occupations, skills, wages, and commuting;
- businesses, sectors, ownership, and supply chains;
- exports, imports, and investment;
- entrepreneurship and innovation;
- land, buildings, infrastructure, utilities, and broadband;
- housing, transportation, health, education, and services;
- municipal finance and development capacity;
- climate, environmental, and hazard risk;
- Indigenous rights, interests, and economic relationships;

- inclusion and distribution of opportunity;
- existing plans, legislation, and partner strategies; and
- perceptions gathered through engagement.

Separate internal conditions from external trends. A weakness is not automatically a threat, and a trend is not automatically an opportunity.

8.3 From goal to action

Each action should state:

- objective and rationale;
- lead and partners;
- scope and deliverable;
- required authority;
- budget and staff;
- start, milestones, and completion;
- dependencies;
- risks and contingency;
- output and outcome measures;
- reporting and review.

Avoid vague actions such as "promote the community." Specify the target audience, message, method, owner, budget, timing, and intended result.

8.4 Common strategy failures

- predetermined conclusions disguised as analysis;
- planning only to satisfy a funder;
- top-down process with weak community ownership;
- perceptions treated as facts;
- too many priorities for available resources;
- actions without owners or budgets;
- no feedback and performance system;
- artificial deadlines;

- failure to consider implementation capacity;
- no contingency or update process.

8.5 Municipal and land-use plans

Terms and legal requirements vary by province and territory. The high-level relationship is generally:

- a strategic or official/municipal plan expresses long-term community direction and land-use policy;
- secondary, area, transportation, servicing, or other plans add detail;
- zoning or land-use bylaws/regulations establish permitted and discretionary uses and development standards;
- subdivision, site-plan, development, building, environmental, and other approvals apply to specific proposals.

Always verify the applicable statute, policy hierarchy, approval authority, appeal process, consultation duty, and Indigenous rights in the relevant jurisdiction.

8.6 What a municipal or official plan may address

- location of residential, commercial, industrial, institutional, agricultural, resource, and protected land;
- growth sequence and settlement boundaries;
- employment lands;
- transportation and mobility;
- water, wastewater, stormwater, energy, and telecommunications;
- housing and community services;
- natural hazards and climate resilience;
- environmental and cultural resources;
- urban design and public realm;
- regional coordination; and
- implementation and monitoring.

8.7 Role of the economic developer

The EDO should:

- communicate business, workforce, and investment needs to planners;

- understand policy, zoning, servicing, and approval pathways;
- maintain current land and building information;
- identify employment-land and infrastructure needs;
- connect prospects with the correct staff without promising approval;
- support engagement and evidence gathering;
- assess economic and business-climate implications;
- coordinate implementation after approval; and
- protect orderly planning, public interest, and procedural fairness.

The professional planner leads planning analysis and statutory process. The EDO contributes economic evidence and client navigation.

8.8 Development readiness

For a site or employment area, assess:

- policy and zoning status;
- ownership and willingness to transact;
- title, easements, contamination, heritage, archaeology, and natural hazards;
- parcel size, configuration, topography, and expansion;
- transportation access;
- water, wastewater, power, gas, and telecommunications capacity;
- approvals and realistic timeline;
- required studies;
- development charges, taxes, and other costs;
- housing and workforce access;
- adjacent uses and community compatibility;
- climate and infrastructure resilience.

”Shovel ready” should have a defined, evidence-based meaning. Do not use it as an unsupported marketing label.

8.9 Public and private development roles

8.9.1 Publicly owned employment land

The municipality may:

- acquire, plan, service, phase, market, lease, or sell land;
- set public objectives and disposition conditions;
- use transparent valuation, procurement, and approval processes;
- manage infrastructure and long-term fiscal risk.

8.9.2 Privately owned development

The municipality generally:

- sets policy and regulation;
- reviews and decides applications within its authority;
- provides or coordinates public infrastructure;
- applies fees, conditions, standards, and incentives lawfully;
- consults and engages as required;
- monitors compliance.

Avoid conflicts when the municipality is both landowner/promoter and regulator. Separate roles, document decisions, and maintain procedural fairness.

8.10 Development impact analysis

Begin early, before major commitments.

8.10.1 Impact categories

- **Fiscal:** service costs, capital costs, taxes, fees, timing, and net municipal position.
- **Environmental:** land, water, air, habitat, emissions, waste, and cumulative effects.
- **Socio-economic:** jobs, wages, housing, population, equity, services, health, culture, and displacement.
- **Transportation:** traffic, transit, goods movement, safety, active transportation, and infrastructure.
- **Economic:** supplier effects, competition, market demand, diversification, productivity, and resilience.

8.10.2 Process

1. screen consistency with plans and law;
2. define scope, geography, baseline, time horizon, and alternatives;
3. identify affected groups and rights-holders;
4. collect project and community data;
5. analyze direct, indirect, induced, cumulative, and distributional effects as appropriate;
6. test assumptions and scenarios;
7. identify mitigation, conditions, and monitoring;
8. communicate uncertainty and trade-offs;
9. integrate findings into the decision.

Do not count gross benefits without costs, displacement, leakage, timing, and risk.

8.11 Downtown redevelopment

Assess the project through:

- business and property-owner intelligence;
- market and leakage analysis;
- land-use and housing policy;
- mobility, parking, loading, and public realm;
- heritage, accessibility, safety, and climate resilience;
- construction disruption mitigation;
- programming, events, and place management;
- investment and financing tools;
- clear governance and phasing;
- measures such as vacancy, foot traffic, investment, housing, business survival, and user experience.

8.12 Learn more

- **Ontario – Official plans:** one Canadian jurisdiction’s explanation of long-term municipal land-use policy.
- **Ontario – Zoning bylaws:** how zoning implements land-use direction through permitted uses and standards.
- **Impact Assessment Agency of Canada – Analyzing health, social and economic effects:** federal impact-assessment guidance.

- OECD — Strategic planning and regional development: place-based strategic planning and regional development.
- City of Calgary — A Municipal Fiscal Impact Model: municipal revenue-and-cost implications of growth.

Planning law and terminology differ across provinces and territories. Official plan, municipal plan, zoning bylaw, and land-use bylaw are not universally interchangeable legal terms; use the language of the applicable jurisdiction.

Marketing, Sales, and Site Selection

9.1 Marketing versus sales

- **Marketing** identifies target audiences, builds awareness, positions the community, and generates leads.
- **Sales** qualifies needs, builds trust, demonstrates fit, overcomes barriers, and moves a project toward a decision.

A brand cannot compensate for weak readiness or inaccurate data. The product is the community's actual investment environment.

9.2 Community competitive analysis

9.2.1 Purpose

- retain existing firms;
- support expansion;
- stimulate entrepreneurship;
- identify sector opportunities;
- target compatible investment;
- guide infrastructure, workforce, and policy.

9.2.2 Evidence

Combine:

- demographics and migration;
- labour force, occupations, wages, skills, and commuting;
- business counts and sector employment;
- exports, imports, customers, and suppliers;
- location quotients and shift-share;
- real estate and infrastructure;
- costs, taxes, utilities, and approvals;

- innovation and institutional assets;
- climate and resilience;
- competitor and benchmark communities;
- business interviews and community engagement.

Quantitative analysis identifies patterns. Local intelligence explains why they exist and whether they represent a strategic opportunity.

9.3 Community profile

A community profile should allow an investor to conduct a first-stage comparison.

9.3.1 Core categories

- location, maps, and transportation access;
- population, growth, age, households, income, and migration;
- labour force, occupations, skills, wages, unemployment, participation, and commuting;
- sector composition, major employers where public, business counts, and supply chains;
- available land and buildings;
- zoning, approvals, fees, and realistic timelines;
- utilities, capacity, cost, reliability, and broadband;
- taxes and lawful incentives;
- education, training, research, health, housing, and community services;
- quality of life relevant to workforce attraction;
- sector profiles and case evidence;
- current contact and response commitment.

9.3.2 Data standards

For each important figure, record:

- definition;
- geography;
- reference period;
- source;

- last-updated date;
- limitations;
- owner and next refresh date.

Use third-party evidence where possible. Do not present marketing estimates as official statistics.

9.4 Targeting and positioning

9.4.1 Target selection

Score possible sectors or business functions on:

- existing concentration and growth;
- supply-chain fit;
- labour and training;
- land, utilities, and logistics;
- market access;
- innovation and institutional assets;
- community support;
- environmental and infrastructure capacity;
- resilience and diversification;
- realistic competition and project pipeline.

Choose a small number of defensible targets. "Technology" is usually too broad; a specific business function and subsector give the program a clearer focus.

9.4.2 Value proposition

A value proposition should answer:

- For which target?
- What business need?
- Why this community?
- What evidence proves it?
- What action should the decision-maker take next?

Use credible differentiation. Do not claim to be the best without a defined comparison.

9.5 Investment marketing plan

1. Research the community and prepare the data foundation.
2. Select target sectors and business functions.
3. Identify geographic markets and decision-makers.
4. Develop positioning and evidence-based messages.
5. Select integrated tactics.
6. Assign partners, budget, timing, and lead management.
7. Execute, measure, learn, and adjust.

Tactics may include:

- corporate aftercare and local firm calls;
- referral networks;
- direct outreach;
- site-selector and broker relationships;
- sector events and trade shows;
- earned media and thought leadership;
- digital content and search;
- familiarization or inward missions;
- partner and senior-leader outreach.

Choose tactics based on qualified lead generation and relationship value, not visibility alone.

9.6 Lead and project management

9.6.1 Suggested fields

- unique project number;
- contact and organization;
- source and referral;
- date opened and last contact;
- confidentiality level;
- sector and business function;
- investment, employment, site, utility, labour, and timing needs;

- decision process and decision-makers;
- current stage and probability;
- owner, next action, and due date;
- partners involved;
- barriers and risk;
- outcome and close reason.

Use access controls and retention rules appropriate to commercial confidentiality and privacy.

9.6.2 Funnel

Audience -> contact -> lead -> qualified project -> proposal/site visit -> due diligence -> decision -> implementation -> aftercare

Track conversion and time at each stage. A high volume of unqualified leads can hide a weak program.

9.7 Site-selection response

9.7.1 First response

- acknowledge quickly;
- confirm deadline, format, criteria, and confidentiality;
- assign one project lead;
- identify internal and external contributors;
- clarify questions early;
- create a source-controlled response schedule.

9.7.2 Data-room checklist

- available properties with maps and constraints;
- land use, zoning, and approvals;
- utilities and capacity confirmation;
- transportation and logistics;
- labour, wages, skills, commuting, and training;
- taxes, fees, and incentives;
- construction and operating costs where defensible;

- market, supplier, and customer access;
- environmental and geotechnical information where available;
- housing and community services;
- project timeline and contacts;
- source notes and dates.

9.7.3 Site visit

1. confirm the prospect's objectives and confidentiality;
2. design the route around decision criteria;
3. brief participants and control the attendee list;
4. validate sites and presentation details;
5. include useful business, workforce, utility, and government contacts;
6. answer accurately and log open questions;
7. send a concise follow-up with owners and deadlines;
8. continue disciplined follow-up without over-contacting.

9.8 Corporate aftercare

Existing firms can generate:

- reinvestment and expansion;
- referrals and testimonials;
- supplier attraction;
- export growth;
- intelligence on competitiveness;
- early warning of risk.

Aftercare requires regular, confidential contact and issue resolution. It is both a BR&E function and an investment marketing function.

9.9 Measures

- profile data freshness;
- target decision-makers reached;
- qualified leads by source;
- cost per qualified lead;
- proposals and site visits;
- conversion by stage and target;
- response time;
- investment and quality jobs;
- reinvestment from existing firms;
- project loss reasons;
- partner contribution;
- client experience.

Interpret results over a realistic multi-year cycle. Major investment decisions may take years.

9.10 Learn more

- [SelectUSA — Investor Guide](#): public-sector guidance on the investor journey, location assessment, and establishment process.
- [SelectUSA — Reports and Publications](#): competitive-analysis and value-proposition resources.
- [SelectUSA — Target Industries Dashboard](#): an example of evidence used to examine target industries.
- [World Bank — Investment Policy and Promotion](#): investment attraction, facilitation, retention, and aftercare.
- [Business Development Bank of Canada — Marketing plan](#): practical marketing-plan elements.
- [Salesforce — Lead qualification](#): an introduction to explicit qualification criteria.

There is no universal lead-to-project vocabulary. Define the entry and exit criteria for each funnel stage, report conversion between named stages, and avoid comparing organizations that use different definitions.

Finance, Business Planning, and Impact Analysis

10.1 Why finance matters

An EDO may not be the firm's accountant, lender, or investment adviser, but should be able to:

- understand the business model;
- read basic statements;
- identify questions and warning signs;
- assess public proposals and funding requests;
- refer specialized work appropriately;
- connect financial assumptions to economic development outcomes.

Always confirm the accounting basis, period, definitions, and source data before comparing ratios.

10.2 The three financial statements

10.2.1 Income statement

The income statement shows revenue, expenses, and profit over a period.

Basic relationship:

$$\text{Revenue} - \text{Expenses} = \text{Net income}$$

It answers:

- Is the business profitable?
- What drives revenue?
- What costs are fixed or variable?
- Are margins improving?
- Is depreciation included?

Principal repayment is not an income-statement expense; interest generally is.

10.2.2 Balance sheet

The balance sheet shows financial position at one date.

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

In IFRS terminology, an asset is a present economic resource controlled by the entity, a liability is a present obligation to transfer an economic resource, and equity is the residual interest after liabilities are deducted from assets. The familiar language of what a business “owns and owes” is useful shorthand, but it is not the complete accounting definition.

It includes:

- current assets such as cash, receivables, and inventory;
- long-term assets such as equipment and buildings;
- current liabilities due within the operating or reporting definition;
- long-term debt;
- owner or shareholder equity.

It answers:

- What does the business own and owe?
- Can it meet near-term obligations?
- How is it financed?
- How much working capital and leverage does it have?

10.2.3 Cash-flow statement

The cash-flow statement shows cash received and paid through:

- operating activities;
- investing activities;
- financing activities.

A profitable firm can still fail if cash is tied up in receivables or inventory, capital spending is heavy, or debt payments arrive before cash receipts.

10.3 Ratio interpretation

Use ratios to ask better questions, not to produce a verdict from one number.

Compare with:

- the firm's own trend;
- plan or budget;
- firms with comparable sector, size, age, and accounting;
- lender or industry norms where appropriate.

Investigate:

- liquidity;
- operating efficiency;
- leverage and debt service;
- profitability;
- cash generation;
- customer or supplier concentration;
- seasonality;
- quality of underlying assets and receivables.

See 10-calculations-and-formulas.md for formulas and examples.

Ratio conventions are not universal. In particular, state:

- whether quick assets exclude both inventory and less-liquid prepaids;
- whether days sales outstanding uses average or ending receivables, net credit or total sales, and 360 or 365 days;
- whether debt-to-equity uses interest-bearing debt or total liabilities; and
- which earnings, asset, and equity measures are used for coverage, return on assets, and return on equity.

10.4 Warning signs

- profit rising while operating cash flow falls;
- receivables growing faster than sales;
- inventory buildup without demand evidence;
- repeated short-term borrowing for persistent losses;
- current obligations exceeding realistic liquid assets;
- debt service with little margin for a downturn;
- one customer, supplier, market, or owner dominates;
- forecasts without documented assumptions;

- no allowance for working capital, tax, contingency, or seasonality;
- owner withdrawals obscuring operating performance.

Do not diagnose from a single ratio. Ask for context and qualified advice.

10.5 Budgeting

A budget translates priorities into a controlled financial plan.

10.5.1 Operating budget

Typical items:

- salaries and benefits;
- professional services;
- marketing and communications;
- travel and events;
- training and memberships;
- data, software, and subscriptions;
- office and facility costs;
- program grants or contributions;
- revenues, grants, and transfers.

10.5.2 Capital budget

Used for long-lived assets such as:

- land;
- buildings;
- infrastructure;
- major equipment;
- site servicing;
- information systems.

Assess full lifecycle cost, timing, financing, debt, operating impact, maintenance, risk, and disposal.

10.5.3 Budget cycle

1. connect requests to strategy and mandate;
2. estimate revenue and expenditure;
3. document assumptions;
4. prioritize and approve;
5. assign authority and controls;
6. monitor actual versus budget;
7. explain variance;
8. forecast year-end;
9. take corrective action;
10. report and learn.

10.6 Business plan

A business plan should explain:

- executive summary;
- business concept and value proposition;
- ownership and legal structure;
- products or services;
- industry and market analysis;
- target customer;
- competition and advantage;
- marketing and sales;
- operations and supply chain;
- location and facilities;
- management and workforce;
- approvals, licences, and intellectual property;
- risk and contingency;
- capital and funding;
- financial assumptions;
- projected income statement, balance sheet, and cash flow;

- milestones and measures;
- supporting documents.

An economic development organization's annual business or work plan should also include target sectors or clients, programs, staffing, partners, marketing, budget, deliverables, performance measures, and reporting.

10.6.1 Forecast questions

- What volume, price, and growth are assumed?
- What evidence supports market share?
- What are fixed and variable costs?
- When is cash collected?
- What working capital is required?
- What capacity constraints arise?
- Are wages, tax, inflation, financing, maintenance, and contingency included?
- What happens under low, base, and high scenarios?

10.7 Development impact analysis

Development impact analysis estimates the consequences of a project before a decision or major commitment.

10.7.1 Fiscal

Consider:

- property and other public revenues;
- fees and grants;
- capital infrastructure;
- operating and maintenance costs;
- service demand;
- timing of receipts and costs;
- financing and debt;
- lifecycle and replacement;
- risk, contingencies, and agreement conditions.

The result is not simply "new taxes minus one year's costs." Timing and lifecycle matter.

10.7.2 Environmental

Consider:

- land and habitat;
- water and wastewater;
- air, emissions, and energy;
- contamination and waste;
- climate hazard and resilience;
- cumulative effects;
- mitigation, monitoring, and liability.

10.7.3 Socio-economic

Consider:

- direct, indirect, and induced employment where methodology supports them;
- job quality, wages, and workforce access;
- housing and population;
- health, education, social, and cultural services;
- local procurement and supply-chain effects;
- equity, inclusion, displacement, and vulnerable groups;
- community character and public acceptance.

10.7.4 Transportation

Consider:

- worker and goods movement;
- road, rail, port, airport, transit, and active modes;
- congestion and safety;
- capital and operating needs;
- emissions and neighbourhood impacts;
- construction and long-term demand.

10.8 Economic impact versus fiscal impact

- **Economic impact** estimates activity in the economy, often output, income, employment, or value added.
- **Fiscal impact** estimates the effect on government revenues and costs.
- **Financial feasibility** tests whether the project or business can fund itself.
- **Cost-benefit analysis** compares social benefits and costs across alternatives.

Do not treat these as interchangeable.

10.9 Impact-analysis discipline

1. Define the decision, alternatives, geography, and time horizon.
2. Establish a baseline and counterfactual.
3. State data, model, and assumptions.
4. Separate direct, indirect, and induced effects.
5. Account for displacement, leakage, deadweight, and capacity constraints.
6. Show distribution and timing, not only totals.
7. Test scenarios and sensitivity.
8. Avoid adding overlapping benefits.
9. Identify non-quantified effects.
10. Recommend conditions, mitigation, monitoring, and review.

10.10 Finance answer pattern

Structure a financial or business case in this order:

1. clarify the decision and information required;
2. review the business model and three statements;
3. calculate and interpret relevant ratios;
4. examine cash flow and assumptions;
5. compare scenarios and benchmarks;
6. identify risk and information gaps;
7. assess public impact and additionality if support is requested;
8. recommend action, conditions, referrals, and monitoring.

10.11 Learn more

- IFRS Foundation — Conceptual Framework for Financial Reporting: assets, liabilities, equity, recognition, and measurement concepts.
- IFRS Foundation — IAS 1 Presentation of Financial Statements: financial-statement presentation.
- IFRS Foundation — IAS 7 Statement of Cash Flows: operating, investing, and financing cash flows.
- Business Development Bank of Canada — Financial ratios: interpretation and business uses of common ratios.
- Treasury Board of Canada Secretariat — Canadian Cost-Benefit Analysis Guide: public-sector cost-benefit analysis.
- Statistics Canada — Guide to Using the Input-Output Simulation Model: direct, indirect, and induced economic effects.
- City of Calgary — A Municipal Fiscal Impact Model: municipal fiscal-impact concepts.

Part III

Practice and Review



Calculations and Formulas

11.1 Calculation habits

For every calculation:

1. write the formula;
2. label units and time period;
3. substitute values;
4. calculate;
5. interpret in plain language;
6. state limitations.

Do not interpret a result without a benchmark, trend, or context.

11.2 Location quotient

Location quotient compares a local industry's share of a regional measure with the same industry's share of that measure in a reference economy. The calculation below uses employment, the most common exam-style version. LQ can also be calculated with earnings, output, or GDP; do not mix measures in one calculation or comparison.

$$\text{LQ} = \frac{(\text{local industry employment} / \text{total local employment})}{(\text{reference industry employment} / \text{total reference employment})}$$

Example:

- local industry employment = 1,200
- total local employment = 20,000
- reference industry employment = 40,000
- total reference employment = 1,000,000

$$\begin{aligned} \text{Local share} &= 1,200 / 20,000 = 0.06 \\ \text{Reference share} &= 40,000 / 1,000,000 = 0.04 \\ \text{LQ} &= 0.06 / 0.04 = 1.50 \end{aligned}$$

Interpretation:

- $LQ = 1.00$: same concentration as the reference area.
- $LQ > 1.00$: more concentrated locally.
- $LQ < 1.00$: less concentrated locally.

An LQ of 1.50 means the industry's local employment share is 50% higher than its reference share. It does not prove productivity, competitiveness, exports, or future growth.

Check:

- consistent industry classification and geography;
- same year and employment concept;
- suppression and rounding;
- self-employment and commuting limitations;
- whether a few firms dominate.

11.3 Employment growth rate

$$\text{Growth rate} = \frac{(\text{employment at end} - \text{employment at start})}{\text{employment at start}}$$

Multiply by 100 for percent.

11.4 Shift-share analysis

Shift-share decomposes local industry employment change into:

- reference-area growth effect;
- industry-mix effect;
- local or differential shift effect.

Let:

- e_0 = local industry employment at start;
- e_1 = local industry employment at end;
- g = growth rate of total reference employment;

- g_i = growth rate of reference industry employment;
- g_l = growth rate of local industry employment.

Reference growth effect	=	$e_0 \times g$
Industry mix effect	=	$e_0 \times (g_i - g)$
Local shift effect	=	$e_0 \times (g_l - g_i)$
Total local change	=	reference effect + mix effect + local effect

Example:

- local industry: 1,000 to 1,150, so $g_l = 15\%$
- total reference economy grows 4%, so $g = 4\%$
- reference industry grows 8%, so $g_i = 8\%$

Reference effect	=	$1,000 \times 0.04$	=	40
Industry mix	=	$1,000 \times (0.08 - 0.04)$	=	40
Local shift	=	$1,000 \times (0.15 - 0.08)$	=	70
Total change	=	$40 + 40 + 70$	=	150

Interpretation:

- 40 jobs are associated with overall reference growth.
- 40 are associated with the industry's stronger reference trend.
- 70 are associated with stronger local performance relative to that industry trend.

A positive local shift suggests a local advantage but does not identify its cause. Validate with firms and other evidence.

11.5 Revenue, cost, and profit

Net sales = Gross sales - Returns - Discounts

Cost of goods sold = Beginning inventory + Purchases - Ending inventory

Gross profit = Net sales - Cost of goods sold

Net income = Revenue - Expenses

11.6 Liquidity ratios

11.6.1 Current ratio

$$\text{Current ratio} = \text{Current assets} / \text{Current liabilities}$$

Example: $300 / 150 = 2.00$.

The firm reports \$2.00 of current assets for each \$1.00 of current liabilities. Asset quality and timing still matter.

11.6.2 Quick ratio

$$\text{Quick ratio} = \text{Quick assets} / \text{Current liabilities}$$

Quick assets commonly include cash, short-term investments, and receivables. A simplified exam formula is:

$$\text{Quick ratio} = \frac{(\text{Current assets} - \text{Inventory} - \text{Less-liquid prepaids})}{\text{Current liabilities}}$$

If no prepaid amount is provided, the common approximation is $(\text{Current assets} - \text{Inventory}) / \text{Current liabilities}$.

Example with no prepaids given: $(300 - 100) / 150 = 1.33$.

This is stricter than the current ratio because inventory and other less-liquid current assets are excluded. State the definition used.

11.7 Activity ratios

11.7.1 Inventory turnover

$$\text{Inventory turnover} = \text{Cost of goods sold} / \text{Average inventory}$$

$$\text{Average inventory} = (\text{Beginning inventory} + \text{Ending inventory}) / 2$$

Example: $600 / 150 = 4.0$ times.

Compare with the sector and the firm's trend. High turnover can mean efficiency or insufficient stock.

11.7.2 Days sales outstanding

$$\text{DSO} = \text{Average accounts receivable} / (\text{Annual net credit sales} / \text{Days in period})$$

Use beginning and ending receivables to calculate an average when both are available. If only period-end receivables are given, use them as a proxy and say so. If net credit sales are unavailable, total sales may be used with a limitation.

Example using 365 days and period-end receivables as a proxy:

$$\text{DSO} = 100 / (900 / 365) = 40.6 \text{ days}$$

Use 360 or 365 consistently with the benchmark.

11.8 Leverage and coverage

11.8.1 Debt-to-assets

$$\text{Debt-to-assets} = \text{Total debt} / \text{Total assets}$$

Example: $450 / 900 = 0.50$, or 50%.

State what total debt includes. Some sources use interest-bearing debt, while others use total liabilities.

11.8.2 Debt-to-equity

$$\text{Debt-to-equity} = \text{Defined debt measure} / \text{Defined equity measure}$$

Two conventions are common:

$$\text{Interest-bearing debt-to-equity} = \text{Interest-bearing debt} / \text{Shareholders' equity}$$

$$\text{Liabilities-to-equity} = \text{Total liabilities} / \text{Shareholders' equity}$$

Example using interest-bearing debt: $450 / 450 = 1.00$.

Do not mix the two conventions. Name the numerator and compare only with a benchmark using the same definition.

11.8.3 Interest coverage

$$\text{Interest coverage} = \text{Earnings before interest and tax} / \text{Interest expense}$$

Example: $120 / 30 = 4.0$ times.

Definitions differ. State whether EBIT, EBITDA, or another measure is used.

11.9 Profitability

11.9.1 Gross profit margin

$$\text{Gross margin} = (\text{Net sales} - \text{Cost of goods sold}) / \text{Net sales}$$

Example: $(1,000 - 600) / 1,000 = 40\%$.

11.9.2 Net profit margin

$$\text{Net margin} = \text{Net income} / \text{Net sales}$$

Example: $80 / 1,000 = 8\%$.

11.9.3 Return on assets

$$\text{ROA} = \text{Net income} / \text{Average total assets}$$

Some analysts use operating income instead of net income. State the numerator. If only one balance-sheet date is available, state that total assets are used as an approximation.

Example: $80 / 900 = 8.9\%$.

11.9.4 Return on equity

$$\text{ROE} = \text{Net income available to common shareholders} / \text{Average common equity}$$

Some sources use total net income and total shareholders' equity. State the convention. Example using year-end common equity: $80 / 450 = 17.8\%$.

11.10 Shareholder ratios

These may be less relevant to a small private business but can test financial literacy.

11.10.1 Total shareholder return

$$\text{TSR} = (\text{Ending share price} - \text{Beginning share price} + \text{Dividends}) / \text{Beginning share price}$$

11.10.2 Price-earnings ratio

$$\text{P/E} = \text{Market price per share} / \text{Earnings per share}$$

11.10.3 Market-to-book ratio

$$\text{Market-to-book} = \text{Market price per share} / \text{Book value per share}$$

Use **book value per share**, not earnings per share.

11.10.4 Dividend yield

$$\text{Dividend yield} = \text{Annual dividend per share} / \text{Market price per share}$$

11.11 Balance-sheet and cash relationships

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

$$\text{Ending cash} = \text{Beginning cash} + \text{Cash inflows} - \text{Cash outflows}$$

$$\text{Working capital} = \text{Current assets} - \text{Current liabilities}$$

Positive working capital does not guarantee liquidity if receivables are uncollectible or inventory is obsolete.

11.12 Program-performance calculations

11.12.1 Conversion rate

Conversion rate = Projects reaching next stage / Projects entering stage

11.12.2 Cost per qualified lead

Cost per qualified lead = Tactic cost / Qualified leads attributable to tactic

11.12.3 Issue resolution rate

Issue resolution rate = Issues resolved / Issues eligible for resolution

Define "resolved" and exclude cases outside scope only by a documented rule.

11.12.4 Funding leverage

Funding leverage = Partner and external funds / Organization funds

State whether in-kind contributions are included. Leverage is not proof of impact.

11.13 Avoiding common errors

- mixing percentages and percentage points;
- using mismatched years or geographies;
- dividing by zero or a very small base;
- using total sales instead of credit sales without disclosure;
- using ending inventory instead of average inventory without disclosure;
- confusing market-to-book with P/E;
- interpreting LQ as growth;
- interpreting correlation as cause;
- counting announced and completed outcomes together;

- counting the same impact in multiple categories;
- omitting inflation, timing, risk, or lifecycle cost.

11.14 Learn more

- Statistics Canada — Location quotient: interpretation of employment concentration.
- Minnesota Department of Transportation — Regional Economic Analysis and Shift-Share Analysis: reference growth, industry mix, and differential or local shift.
- Business Development Bank of Canada — Four ways to assess a business using financial ratios: liquidity and other ratio categories.
- Business Development Bank of Canada — Financial ratios: profitability, leverage, coverage, collection, and turnover measures.
- Investor.gov — Price-earnings ratio: P/E definition.
- CFA Institute — Market-Based Valuation: price-to-book and other market multiples.
- Ontario — Examples of identifying performance measures and data: economic-development performance measures.

When two recognized formulas differ, name the convention, use it consistently, and compare it only with a benchmark calculated the same way.



Mock Exam for Practice

This chapter contains a complete written practice exam. Its questions draw on the topics, frameworks, terminology, and public references used throughout the guide, organized around the publicly described examination format.

12.1 How to use this file

Complete the whole chapter as a written simulation, or choose one part for a shorter study session. Confirm the current timing, marks, and requirements with EDAC before setting up a full mock exam.

For a full practice session:

- complete the 24 practice multiple-choice and true/false questions;
- choose one contemporary essay question;
- answer one question from each of Mock Sets A through H;
- complete the calculation practice if quantitative review is part of your study plan.

Change the place, industry, constraint, and stakeholder mix when repeating a question. This keeps the exercise focused on transferable judgment instead of memorized wording.

12.2 Mock written exam

The following practice questions use constructed scenarios and figures developed from the study-guide chapters. The A-through-H labels simply organize the mock exam by knowledge area.

12.2.1 Practice multiple-choice and true/false questions

The 24 original questions below mix definitions, distinctions, short applications, professional judgment, and calculations. Allow about 40 minutes, answer every question, and record your choices before checking the answer key.

Questions

1. **Professional practice — Multiple choice.** A councillor asks an economic development officer to announce an unverified major investment before the company has approved disclosure. What is the best response?
 - A. Announce it immediately because elected officials set municipal priorities.
 - B. Confirm the facts, confidentiality obligations, and approval to disclose before preparing any announcement.
 - C. Give the information to one reporter on background so the story can be tested.
 - D. Refuse to communicate about the project at any time.
2. **Business retention and expansion — Multiple choice.** Which activity is most central to a business retention and expansion program?
 - A. Purchasing untargeted advertising in national media.
 - B. Conducting structured outreach to existing employers and coordinating responses to identified barriers.
 - C. Approving every expansion incentive requested by a local business.
 - D. Replacing the municipality's planning approval process.
3. **Performance measurement — Multiple choice.** A program reports that staff completed 80 business visits. In a logic model, this figure is best classified as:
 - A. an input
 - B. an activity
 - C. an output
 - D. a long-term outcome
4. **Performance measurement — Multiple choice.** Which measure provides the strongest evidence that a workforce initiative improved participant employment outcomes?
 - A. The number of social-media impressions generated.
 - B. The number of workshops delivered.
 - C. The share of participants employed after the program compared with a defined baseline and appropriate comparator.
 - D. A testimonial selected by the program manager.
5. **Governance — Multiple choice.** An arm's-length economic development corporation is most likely to maintain public accountability when it has:
 - A. no written mandate so it can respond flexibly
 - B. a clear mandate, delegated authorities, reporting requirements, and conflict-of-interest controls
 - C. complete exemption from municipal policies and public reporting
 - D. responsibility for approving its own municipal budget without oversight

6. **Partnerships — Multiple choice.** Before launching a regional investment-attraction partnership, the participating organizations should first clarify:
- A. objectives, roles, decision rights, resources, data handling, and success measures
 - B. which partner will receive public credit for every lead
 - C. that all municipal differences will be removed
 - D. that confidential prospect information will be circulated to every employee
7. **Communications — Multiple choice.** During a plant-closure response, which communication approach is most appropriate?
- A. Speculate about the cause so the municipality appears informed.
 - B. Use a designated spokesperson, separate confirmed facts from unknowns, show empathy, and state the next update time.
 - C. Avoid all communication until every long-term impact is known.
 - D. Publish personal details about affected workers to demonstrate impact.
8. **Public engagement — Multiple choice.** An open house attracts mostly established property owners. What is the best next step before treating the feedback as representative?
- A. Close engagement because an open invitation was provided.
 - B. Weight every comment equally and claim it represents the whole community.
 - C. Identify missing groups and barriers, then add accessible and targeted ways for them to participate.
 - D. Discard the open-house feedback entirely.
9. **Strategic planning — Multiple choice.** Which sequence best reflects a defensible strategic-planning process?
- A. Select projects, write a vision, collect data, then identify stakeholders.
 - B. Establish mandate, assess evidence and context, engage stakeholders, set priorities, build an action plan, implement, and evaluate.
 - C. Copy a neighbouring strategy, announce targets, and assign measures after implementation.
 - D. Start implementation, then seek approval if early results are positive.
10. **Planning and land use — Multiple choice.** A manufacturer asks the economic development officer to guarantee rezoning of a site. The officer should:
- A. provide the guarantee to keep the project moving
 - B. explain the approval process and risks, coordinate early review, and avoid promising the outcome
 - C. tell the company that planning considerations are irrelevant to investment attraction
 - D. submit the application without the company's authorization

11. **Investment attraction — Multiple choice.** Which information is most useful when first qualifying an investment lead?
- A. The prospect's operating requirements, decision criteria, timeline, authority, and confidentiality needs.
 - B. Only the number of jobs mentioned in the initial inquiry.
 - C. The community's preferred announcement date.
 - D. A promise that every requested incentive will be approved.
12. **Marketing and sales — Multiple choice.** Which statement is the strongest investment value proposition?
- A. Our community is a great place to do business.
 - B. Our serviced employment area offers verified utility capacity, highway access, and a workforce program aligned with food-processing occupations.
 - C. We will beat every competing community on cost.
 - D. Our brochure contains information about all local sectors.
13. **Finance — Multiple choice.** Which financial statement reports a business's assets, liabilities, and equity at a specific date?
- A. Income statement
 - B. Balance sheet
 - C. Cash-flow statement
 - D. Marketing plan
14. **Finance — Multiple choice.** A business has current assets of \$240,000 and current liabilities of \$160,000. What is its current ratio?
- A. 0.67
 - B. 1.00
 - C. 1.50
 - D. 80,000
15. **Economic analysis — Multiple choice.** A local industry has a location quotient of 1.40. Which interpretation is most defensible?
- A. The industry's local employment share is 40% larger than the benchmark share.
 - B. The industry grew by 40% during the period.
 - C. The industry is guaranteed to export 40% of its output.
 - D. The industry is 40% more productive than the national industry.

16. **Economic impact — Multiple choice.** Which proposed benefit should be excluded from an estimate of net new local economic impact?
- A. Spending that would have occurred locally even without the project.
 - B. Verified purchases from local suppliers that occur because of the project.
 - C. New wages paid to local workers because of the project.
 - D. Incremental municipal revenue attributable to the project.
17. **Economic analysis — Multiple choice.** In shift-share analysis, a positive local competitive effect most directly indicates that:
- A. the local industry outperformed the growth expected from national and industry-mix effects
 - B. all local job growth was caused by the economic development program
 - C. the industry has the largest employment base in the community
 - D. the industry will continue growing at the same rate
18. **Inclusive development — Multiple choice.** A major project may affect the rights and interests of an Indigenous community. Which is the most appropriate economic development approach?
- A. Treat the community only as another stakeholder in a general open house.
 - B. Engage early and respectfully, understand rights and protocols, involve the proper authorities, and avoid treating consultation as a promotional exercise.
 - C. Wait until every project decision has been finalized before making contact.
 - D. Assume a benefits agreement eliminates all Crown consultation obligations.
19. **Performance measurement — True or false.** True or false: Program outputs and program outcomes are interchangeable terms.
- T. True
 - F. False
20. **Finance — True or false.** True or false: A positive net present value is sufficient by itself to approve a public economic development project.
- T. True
 - F. False
21. **Labour market — True or false.** True or false: The unemployment rate counts every working-age person who does not have a job as unemployed.
- T. True
 - F. False

22. **Business retention and expansion — True or false.** True or false: Aggregated BR&E intelligence can inform workforce, infrastructure, and policy priorities as well as individual business follow-up.
- T. True
 - F. False
23. **Marketing and sales — True or false.** True or false: Economic development marketing and investment sales are interchangeable because both promote the community.
- T. True
 - F. False
24. **Strategic planning — True or false.** True or false: An implementable economic development strategy should assign responsibilities, timelines, resources, and performance measures.
- T. True
 - F. False

Answer key and explanations

1. **B — Confirm the facts, confidentiality obligations, and approval to disclose before preparing any announcement.** Economic developers should protect confidential information, verify facts, and coordinate authorized communication before a public announcement.
2. **B — Conducting structured outreach to existing employers and coordinating responses to identified barriers.** A sound BR&E program builds relationships with existing firms, identifies opportunities and risks, and coordinates appropriate responses without promising outcomes outside the EDO's authority.
3. **C — an output** Outputs count what a program directly delivers. Outcomes describe changes that follow, and should not be assumed from activity counts alone.
4. **C — The share of participants employed after the program compared with a defined baseline and appropriate comparator.** Outcome evidence is stronger when it specifies the population, timing, baseline, and a reasonable comparison rather than relying only on outputs or anecdotes.
5. **B — a clear mandate, delegated authorities, reporting requirements, and conflict-of-interest controls** An arm's-length structure still needs a documented mandate, appropriate delegated authority, transparent reporting, and controls for ethical and financial stewardship.
6. **A — objectives, roles, decision rights, resources, data handling, and success measures** Effective partnerships begin with shared objectives and an operating framework that covers authority, resources, information, accountability, and evaluation.
7. **B — Use a designated spokesperson, separate confirmed facts from unknowns, show empathy, and state the next update time.** Crisis communication should be accurate, empathetic, coordinated, and transparent about uncertainty and the timing of further information.

8. **C — Identify missing groups and barriers, then add accessible and targeted ways for them to participate.** Representative engagement requires attention to who is missing, why they may be missing, and which additional methods can reduce participation barriers.
9. **B — Establish mandate, assess evidence and context, engage stakeholders, set priorities, build an action plan, implement, and evaluate.** A credible strategy connects mandate, evidence, engagement, choices, resources, delivery, measurement, and adaptation.
10. **B — explain the approval process and risks, coordinate early review, and avoid promising the outcome** Economic development staff can convene reviewers and clarify process, but they must distinguish facilitation from statutory decision-making.
11. **A — The prospect’s operating requirements, decision criteria, timeline, authority, and confidentiality needs.** Lead qualification establishes the decision need, project requirements, timing, authority, fit, and information rules before major resources are committed.
12. **B — Our serviced employment area offers verified utility capacity, highway access, and a workforce program aligned with food-processing occupations.** A useful value proposition is specific to the target audience, evidence based, differentiated, and connected to the prospect’s decision criteria.
13. **B — Balance sheet** The balance-sheet equation is $\text{assets} = \text{liabilities} + \text{equity}$, measured at a stated point in time.
14. **C — 1.50** $\text{Current ratio} = \text{current assets} / \text{current liabilities} = \$240,000 / \$160,000 = 1.50$. Interpretation still depends on industry, trends, and asset quality.
15. **A — The industry’s local employment share is 40% larger than the benchmark share.** An LQ of 1.40 means the industry’s share of local employment is 1.4 times its share in the benchmark economy. It does not by itself establish growth, productivity, or causation.
16. **A — Spending that would have occurred locally even without the project.** Net impact should exclude deadweight and also test leakage, displacement, substitution, timing, and the geographic boundary of the analysis.
17. **A — the local industry outperformed the growth expected from national and industry-mix effects** A positive local competitive effect suggests stronger local performance than national growth and industry mix would predict, but further investigation is needed to explain why.
18. **B — Engage early and respectfully, understand rights and protocols, involve the proper authorities, and avoid treating consultation as a promotional exercise.** Economic developers should support early, respectful, rights-aware relationships and ensure that the proper legal and governmental authorities lead duties that fall outside the EDO’s mandate.
19. **F — False** Keeping outputs and outcomes separate prevents activity counts from being mistaken for evidence of impact.

20. **F — False** Public decisions require a broader business case than a single financial metric, even when the calculation is sound.
21. **F — False** The labour force includes employed people and people classified as unemployed; it excludes people not participating in the labour force.
22. **T — True** A mature BR&E program separates confidential case management from responsibly aggregated evidence that can guide community-wide action.
23. **F — False** The functions reinforce one another but use different objectives, activities, measures, and stages of the prospect journey.
24. **T — True** Implementation detail connects strategic intent to delivery, accountability, learning, and course correction.

12.2.2 Short-answer practice sets

For each set:

- choose one of the three questions;
- set a 20-minute timer;
- spend about 2 minutes planning, 15 minutes writing, and 3 minutes checking; and
- score the response using the rubric below.

Mock set A: Professional judgment and evidence

1. A fictional regional development office is evaluating a supplier-development pilot that has reached only half its participation target. Senior leaders want to renew it based on several positive testimonials. Explain how the officer should assess the evidence, distinguish outputs from outcomes, identify data limitations, and recommend whether to continue, modify, or end the program.
2. A public dashboard shows that employment in a target sector grew sharply. Statistics Canada later revises the underlying series and the apparent increase becomes much smaller. Prepare a response that addresses correction, communication with decision-makers, documentation, and future quality control.
3. A newly appointed economic-development board asks staff to promise a project approval that legally belongs to another public authority. Explain how an economic developer should clarify roles, preserve momentum, and offer useful support without exceeding the organization's mandate.

Review the response for facts, authority, assumptions, limitations, public interest, evidence quality, documentation, corrective action, and relationship management.

Mock set B: Business intelligence and response

1. A fictional service centre has approximately 140 employers spread across a large rural area and only one staff member available for outreach. Design a twelve-month business-listening program that balances representation, confidentiality, follow-up capacity, and measurable value.
2. Several firms report unrelated symptoms - missed shipments, high turnover, and delayed permits - but staff suspect a shared infrastructure constraint. Describe how you would test the hypothesis, triage firm-specific needs, and convert the findings into a coordinated response.
3. A business survey receives strong participation from large firms but very little response from small, home-based, or newcomer-owned businesses. Explain what can and cannot be concluded, how the evidence gap should be addressed, and how results should be reported.

Review the response for purpose, sampling, accessibility, consent, confidentiality, issue triage, partner referrals, systemic analysis, feedback, implementation, and measures.

Mock set C: Investment readiness and market change

1. A fictional agricultural region wants to attract food-processing investment, but its cold-storage capacity, wastewater limits, and seasonal workforce are not well documented. Develop a target-market and readiness process before promotional spending begins.
2. An international prospect requests verified information on power capacity, permitting, labour, incentives, and available sites within seventy-two hours. Some information is incomplete and the project's decision process is unclear. Describe how you would qualify the opportunity and organize a credible response.
3. A cluster of small exporters faces simultaneous exchange-rate volatility, changing border requirements, and rising freight costs. Build a scenario-based response that distinguishes immediate firm assistance from longer-term market and supply-chain development.

Review the response for strategic fit, verified data, lead qualification, response ownership, confidentiality, inter-governmental coordination, limitations, timelines, risk, and aftercare.

Mock set D: Governance and measurement

1. Three fictional municipalities jointly fund an economic-development organization but disagree about voting rights, service levels, and how regional results should be credited. Propose a governance and accountability framework.
2. A two-year business accelerator reports workshops delivered, attendance, and social-media reach, but the board wants evidence of business value. Develop a logic model and a practical evaluation plan without claiming results the program cannot attribute.
3. A sudden budget reduction requires an economic-development team to pause or redesign several initiatives. Develop a transparent prioritization process that considers mandate, evidence, equity, contractual obligations, opportunity cost, and community impact.

Review the response for mandate, representation, decision rights, service standards, funding, conflicts, data ownership, outputs, outcomes, attribution, review cycles, and public reporting.

Mock set E: Partnerships and program delivery

1. A municipality, an Indigenous development corporation, a college, and a utility are exploring a shared employment and training hub. Describe how the parties should establish relationships, define authority, protect information, allocate risk, and decide whether to proceed.
2. A proposed mentoring initiative would match volunteer executives with early-stage businesses. Design the operating model, including participant selection, boundaries, conflicts, accessibility, safeguarding, feedback, and exit provisions.
3. A funding partner asks staff to announce an ambitious job target before the delivery partners have validated it. Explain how you would respond, revise the target-setting process, and preserve the partnership.

Review the response for strategic fit, rights and jurisdiction, governance, written agreements, roles, resources, risk allocation, privacy, conflicts, dispute resolution, exit, and shared outcomes.

Mock set F: Communication and engagement

1. A multi-year street reconstruction project will disrupt access to a fictional commercial district during its busiest season. Develop a communication and business-support plan before, during, and after construction.
2. A proposed high-energy-use facility may create investment and tax benefits but raises questions about power, water, land, and community priorities. Design an engagement process that clearly separates information, consultation, technical review, and formal decision authority.
3. A reporter asks about an employer restructuring before the firm has made a public announcement. Prepare the organization's response and a subsequent media plan for the period after verified information becomes public.

Review the response for purpose, audiences, accessible channels, verified messages, spokesperson roles, privacy, stakeholder and rights-holder participation, influence on decisions, feedback, timing, and evaluation.

Mock set G: Planning and location readiness

1. A fictional community markets an employment site as development-ready, but ecological work, transportation access, and utility capacity remain uncertain. Explain how the claim should be corrected and how a defensible readiness program should proceed.
2. An economic strategy was written before major changes in population, commuting, technology, and climate risk. Design an efficient strategy refresh that uses new evidence without discarding useful prior work.
3. A site-selection request compares three communities. Your community performs well on several factors but has a material weakness in one operating requirement. Explain how you would present the evidence, test possible mitigation, and advise local decision-makers.

Review the response for evidence, planning authority, rights and constraints, verified readiness, alternatives, transparent marketing, interdepartmental roles, implementation, risk, and monitoring.

Mock set H: Finance and impact

1. A growing fictional manufacturer reports higher sales and positive net income but repeatedly uses short-term borrowing to meet payroll. Explain which financial information and ratios you would review, the limits of the EDO's role, and when a qualified adviser is needed.
2. A proposed industrial-park expansion requires municipal servicing, land acquisition, and a long construction period. Develop an impact-analysis framework that separates financial feasibility, fiscal effects, economic effects, environmental and social considerations, distribution, uncertainty, and lifecycle risk.
3. A publicly funded entrepreneurship program requests a substantial renewal after its pilot year. Design the budget review and recommendation process, including relevant costs, performance evidence, alternatives, risk, approval authority, and reporting.

Review the response for financial statements, cash and liquidity, relevant ratios, assumptions, qualified referrals, incremental effects, scenarios, distribution, lifecycle costs, uncertainty, decision criteria, and monitoring.

12.2.3 Contemporary essay questions

Set 70 minutes and observe the current public word limit. These purpose-built questions combine themes and analytical approaches from the contemporary-issues chapter with constructed local circumstances.

1. A prolonged disruption affects a major Canadian transportation corridor while firms are also changing suppliers. Analyze how the shock could reach a community familiar to you and recommend immediate, medium-term, and resilience actions.
2. Electricity demand from industrial expansion, housing growth, and digital infrastructure is increasing faster than local capacity. Analyze the economic-development trade-offs and propose a fair, evidence-based response.
3. A regional post-secondary institution substantially reduces enrolment and programming. Analyze effects on labour supply, housing, local businesses, innovation, and community services, then recommend a coordinated adjustment strategy.
4. Small and medium-sized firms are adopting artificial intelligence unevenly. Analyze potential productivity gains, workforce transitions, infrastructure needs, governance risks, and an appropriate local economic-development role.
5. Repeated extreme-weather disruptions are changing insurance availability, infrastructure costs, tourism patterns, and business continuity. Develop an economic resilience strategy for a community familiar to you.
6. Population growth slows while the working-age population ages and employers continue to report skill shortages. Analyze the apparent contradiction and recommend actions that distinguish attraction, retention, participation, productivity, and service capacity.

7. An Indigenous-led economic organization proposes an equity partnership in a major regional infrastructure project. Analyze how relationships, rights, governance, finance, procurement, capacity, benefits, risk, and long-term accountability should be approached.
8. Commercial vacancies rise even though regional employment remains stable. Analyze possible causes, identify the evidence needed, and recommend a place-based response that avoids treating symptoms as causes.

To create additional essay practice, combine one external change, two local transmission channels, one stakeholder tension, one resource constraint, and three time horizons. Do not reuse a memorized thesis.

12.2.4 Optional calculation practice

All figures and situations below were prepared for calculation practice.

1. A local industry has 720 of 18,000 jobs. The same industry has 24,000 of 800,000 jobs in the reference area. Calculate and interpret the LQ.
2. A local industry grows from 1,000 to 1,120 jobs. Total reference employment grows 3%, and reference industry employment grows 8%. Calculate the three shift-share effects.
3. A firm has current assets of 540, inventory of 180, and current liabilities of 270. Calculate current and quick ratios.
4. A firm has cost of goods sold of 960, beginning inventory of 180, and ending inventory of 300. Calculate average inventory and turnover.
5. Average accounts receivable are 180 and annual net credit sales are 1,460. Calculate DSO using 365 days.
6. Interest-bearing debt is 750, assets are 1,250, and equity is 500. Calculate debt-to-assets and interest-bearing debt-to-equity.
7. Sales are 2,000, cost of goods sold is 1,200, and net income is 120. Calculate gross and net margins.
8. A tactic costs 36,000 and produces 18 qualified leads, 6 proposals, and 2 completed investments. Calculate cost per qualified lead and stage conversions.

Answers:

1. About 1.33; the local employment share is about one-third higher than the reference share.
2. Local growth is 12%; reference effect 30, industry mix 50, local shift 40, and total change 120.
3. Current ratio 2.00; quick ratio about 1.33.
4. Average inventory 240; turnover 4.0.
5. 45 days.
6. Debt-to-assets 60%; interest-bearing debt-to-equity 1.50.
7. Gross margin 40%; net margin 6%.
8. 2,000 per qualified lead; lead-to-proposal about 33.3%; proposal-to-completion about 33.3%; lead-to-completion about 11.1%.

12.2.5 Self-scoring rubric for an 8-mark practice answer

Score the practice exam with this independently created rubric:

Criterion	Marks
Directly answers every part and establishes context	1
Uses a correct, logical process	2
Identifies stakeholders, roles, and authority	1
Uses evidence and recognizes assumptions	1
Provides implementation, resources, and timing	1
Addresses ethics, risk, inclusion, and contingency	1
Defines outputs, outcomes, and follow-up	1
Total	8

After scoring, rewrite only the weakest section so the review stays focused.

12.3 Learn more

- **EDAC – Exam Preparation:** confirm the current public exam format before setting timers or scoring practice.
- **EDAC – Code of Ethics:** use the current code when reviewing ethics and professional-judgment answers.
- **Glossary with definition sources:** check terminology and follow the public references after each practice session.
- **Calculations and formulas:** review formula conventions before scoring quantitative drills.
- **Public sources and disclaimer:** verify current exam and contemporary-issue sources.

Use the mock exam to practise process, judgment, evidence, and communication. Change the scenarios between attempts and avoid memorizing model wording.



Contemporary Issues

The contemporary essay should show how a major event could affect the local economy and how an EDO could respond. The analytical questions apply the public issues and study frameworks covered in this guide.

13.1 Analysis framework

Use LOCAL IMPACT:

- **L - Local baseline:** sectors, firms, workers, markets, and existing conditions.
- **O - Originating event:** what changed, when, and through which policy or market mechanism.
- **C - Channels:** demand, costs, trade, finance, labour, infrastructure, confidence, or regulation.
- **A - Affected groups:** firms, workers, residents, governments, rights-holders, and vulnerable groups.
- **L - Local evidence:** current quantitative and qualitative evidence.
- **I - Immediate response:** urgent information, stabilization, referrals, and coordination.
- **M - Medium-term action:** productivity, diversification, workforce, finance, infrastructure, or market development.
- **P - Partners and powers:** who has authority, resources, knowledge, and trust.
- **A - Accountability:** objectives, measures, reporting, ethics, and equity.
- **C - Contingency:** scenarios, triggers, and adjustment.
- **T - Timeline:** immediate, 90-day, one-year, and longer-term actions.

13.2 Current Canadian themes as of July 25, 2026

These public themes are starting points for independent analysis and mock-exam preparation.

13.2.1 Trade restructuring and tariffs

Questions to prepare:

- Which local firms export to or import from the United States?
- Which inputs and products are tariff-exposed?
- Can firms diversify markets, suppliers, products, or logistics?

- What short-term financing, advisory, or worker support exists?
- How could import replacement create an opportunity without creating an inefficient local strategy?

The Government of Canada's [tariff-response page](#) summarizes current sector measures and support. [Trade Data Online](#) can identify product and industry trade exposure.

13.2.2 Growth, inflation, interest rates, and uncertainty

The Bank of Canada's [July 2026 Monetary Policy Report](#) described weak recent growth with signs of improvement, elevated near-term inflation, and continued uncertainty related to trade and geopolitical conditions.

Local questions:

- How do borrowing costs affect construction, business investment, and municipal capital?
- Which households and firms are sensitive to price changes?
- Are local conditions stronger or weaker than the national picture?
- What leading indicators should the EDO monitor?

13.2.3 Housing, workforce, and development feasibility

CMHC's [July 2026 Housing Market Outlook update](#) emphasizes economic uncertainty, slower population growth, borrowing costs, and regional differences.

Local questions:

- Is housing constraining recruitment and retention?
- Which price points and housing forms are missing?
- What limits supply: land, servicing, approvals, finance, construction capacity, or demand?
- How do housing actions connect to transit, infrastructure, services, and employment areas?

13.2.4 Labour, demographics, and skills

Use Statistics Canada's [Labour Statistics portal](#) and local/provincial sources.

Local questions:

- Which occupations are difficult to recruit or retain?
- Is the issue skills, wages, housing, transportation, demographics, work conditions, or awareness?
- What is the commuting shed?
- Which groups face barriers to participation?
- What can employers, educators, governments, and community organizations each do?

13.2.5 Artificial intelligence and digital adoption

Consider:

- productivity and new products;
- task change rather than only job counts;
- skills and management capacity;
- data quality, privacy, cybersecurity, bias, and procurement;
- broadband, computing, and power infrastructure;
- uneven adoption between large and small firms;
- local innovation and supplier opportunities.

An EDO response could combine awareness, assessment, training, demonstration projects, trusted advisers, financing, and outcome measurement.

13.2.6 Climate adaptation and economic resilience

Canada's [National Adaptation Strategy](#) links climate readiness to communities, workers, infrastructure, supply chains, and competitiveness.

Local questions:

- Which sectors and sites face flood, wildfire, heat, storm, drought, coastal, or permafrost risk?
- What infrastructure and supply-chain dependencies are critical?
- How will risk affect insurance, finance, operating continuity, and investment?
- What adaptation investments produce economic and public-safety benefits?
- How will the community protect groups with less capacity to adapt?

13.2.7 Indigenous economic development and reconciliation

The Government of Canada's [Business and economic development for Indigenous Peoples](#) page provides a current program entry point.

Prepare to discuss:

- rights and jurisdiction;
- relationship and protocol;
- Indigenous-led priorities;
- governance and decision-making;
- land, infrastructure, skills, procurement, equity participation, and finance;

- benefit sharing and long-term capacity;
- data ownership, confidentiality, and cultural knowledge;
- measurement defined with the Indigenous partner.

Avoid treating consultation as a substitute for relationship or consent where the legal context requires more.

13.3 Seven-day refresh

One week before the exam:

1. review EDAC news and policy updates;
2. read the latest Bank of Canada Monetary Policy Report summary;
3. review the latest Labour Force Survey and local labour data;
4. check Trade Data Online for exposed sectors;
5. read current federal and provincial/territorial budgets or economic updates;
6. review housing, construction, and population indicators;
7. scan current events affecting the candidate's own community;
8. select two events and prepare a one-page LOCAL IMPACT outline for each.

13.4 Source discipline

For every contemporary claim:

- use a current, authoritative source;
- note publication and reference dates;
- distinguish Canada-wide and local conditions;
- distinguish observed results, forecasts, and scenarios;
- explain uncertainty;
- avoid political advocacy unrelated to the professional analysis;
- show who has authority to act.

13.5 Essay outline template

Title:

Event and date:

Community/region:

Thesis:

1. Baseline
2. Impact channels
3. Sector and population effects
4. Evidence and uncertainty
5. Immediate actions
6. Medium- and long-term strategy
7. Partners, authority, and resources
8. Communication, ethics, and equity
9. Measures, triggers, and contingency
10. Conclusion

13.6 Learn more

- Bank of Canada — Monetary Policy Report: growth, inflation, interest rates, trade, productivity, and risk.
- Statistics Canada — Labour statistics: employment, wages, vacancies, hours, and productivity.
- ISED — Trade Data Online: imports and exports by industry, product, partner, province, and territory.
- Canada Mortgage and Housing Corporation — Housing market information: housing supply, construction, ownership, rental, and market evidence.
- Government of Canada — National Adaptation Strategy: climate resilience and adaptation.
- Government of Canada — Business and economic development for Indigenous Peoples: federal program and information entry points.

Contemporary evidence ages quickly. Recheck publication dates, definitions, revisions, and geographic relevance close to the examination rather than relying on this chapter's dated snapshot.

Glossary

Definitions are plain-language syntheses written for exam review. They are not quotations. Confirm jurisdiction-specific legal terms and follow the linked primary sources for technical detail. Each row pairs the study definition with one or more public sources for deeper learning and comparison.

14.1 A

Term	Definition	Sources
Activity	Work performed by a program, such as business visits or workshops.	OECD — Glossary of Key Terms in Evaluation and Results-Based Management
Additionality	The part of an outcome that likely would not have occurred, or would have occurred later or at smaller scale, without the intervention.	UK Government — The Green Book: appraisal and evaluation in central government
Aftercare	Structured relationship and support for firms already established in a community, often to encourage retention and reinvestment.	World Bank — Investment Policy and Promotion
Arm's-length organization	A separate corporation or agency that delivers a public mandate with defined independence and accountability.	Treasury Board of Canada Secretariat — Guiding Principles for the Management of Crown Corporations
Assets	Present economic resources controlled by an entity as a result of past events. Under IFRS, an economic resource is a right with the potential to produce economic benefits.	IFRS Foundation — Conceptual Framework for Financial Reporting

14.2 B

Term	Definition	Sources
Balance sheet	A statement of financial position presenting assets, liabilities, and equity at a specified date.	IFRS Foundation — IAS 1 Presentation of Financial Statements
Benchmark	A baseline, target, historical result, or comparable entity used for interpretation.	Business Development Bank of Canada — Ratio analysis
BR&E	Business retention and expansion; a relationship, intelligence, and action process focused on existing firms.	Ontario Ministry of Agriculture, Food and Agribusiness — Business Retention and Expansion Program

Term	Definition	Sources
Business attraction	Effort to identify and secure compatible new investment or business activity.	World Bank — Investment Policy and Promotion
Business climate	The regulatory, cost, infrastructure, service, relationship, and market environment experienced by firms.	World Bank — Business Ready frequently asked questions

14.3 C

Term	Definition	Sources
Capital budget	Plan for acquisition and financing of long-lived assets.	Treasury Board of Canada Secretariat — Directive on Corporate Plans, Expenditures and Budgets
Cash flow	Inflows and outflows of cash and cash equivalents during a period, commonly classified as operating, investing, or financing.	IFRS Foundation — IAS 7 Statement of Cash Flows
Cluster	Interconnected firms, suppliers, institutions, workers, and supporting organizations in a related field and geography.	U.S. Economic Development Administration — Economic Development Glossary
Community profile	Current, sourced information used by firms and investors to assess a location.	Statistics Canada — 2021 Census Profile
Competitive analysis	Quantitative and qualitative assessment of the community's economic position, assets, performance, and opportunities.	SelectUSA — Reports and Publications
Conflict of interest	A situation in which a private interest, relationship, or competing duty impairs, may impair, or could reasonably appear to impair objective professional judgment.	Economic Developers Association of Canada — Code of Ethics
Conversion rate	Proportion of cases that move from one defined stage to the next.	Ontario — Examples of identifying performance measures and data
Cost-benefit analysis	Comparison of social benefits and costs of alternatives, generally across a defined time horizon.	Treasury Board of Canada Secretariat — Canadian Cost-Benefit Analysis Guide
Current ratio	Current assets divided by current liabilities.	Business Development Bank of Canada — Four ways to assess your business using financial ratios

14.4 D

Term	Definition	Sources
Days sales outstanding	Estimated average collection period, normally calculated using average accounts receivable divided by average daily net credit sales.	Business Development Bank of Canada — Financial ratios: what they are and how to use them
Deadweight	Benefits that likely would have occurred without the intervention.	UK Government — The Green Book: appraisal and evaluation in central government
Debt-to-equity	A leverage ratio comparing a defined debt measure with a defined equity measure. Sources variously use interest-bearing debt or total liabilities, so state the convention.	Business Development Bank of Canada — Financial ratios: what they are and how to use them
Development impact analysis	Assessment of fiscal, environmental, socio-economic, transportation, and other consequences of development.	Impact Assessment Agency of Canada — Analyzing health, social and economic effects
Differential shift	The shift-share component associated with local industry performance relative to the same industry in the reference area; also called the local, regional, or competitive effect.	Minnesota Department of Transportation — Regional Economic Analysis and Shift-Share Analysis
Direct effect	Initial activity generated by the project or organization being analyzed.	Statistics Canada — Guide to Using the Input-Output Simulation Model
Displacement	Activity that replaces or moves existing activity rather than creating net new benefit.	UK Government — The Green Book: appraisal and evaluation in central government
Diversification	Reduced dependence on a narrow set of sectors, firms, customers, markets, or resources.	U.S. Economic Development Administration — Economic Resilience

Term	Definition	Sources
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14.5 E

Term	Definition	Sources
Economic base	Industries and activities that bring income into a region by selling to markets outside it or attracting external spending. Economic-base analysis contrasts these with activity serving primarily local demand.	U.S. Department of Agriculture Economic Research Service — County Typology Codes documentation
Economic impact	A change in measures such as employment, labour income, output, or value added associated with an activity or intervention. Scope, geography, time, counterfactual, and direct, indirect, and induced effects should be stated.	Statistics Canada — Economic accounts frequently asked questions
Economic resilience	Capacity to anticipate, withstand, adapt to, and recover from shocks.	U.S. Economic Development Administration — Economic Resilience
Equity	In accounting, the residual interest in assets after deducting liabilities. In community analysis, fairness that recognizes different circumstances and seeks substantively fair access, process, and distribution of effects. State the intended meaning.	IFRS Foundation — Conceptual Framework for Financial Reporting; Government of Canada — Employment equity policy overview
Evaluation	Systematic assessment of program design, delivery, results, and value.	Treasury Board of Canada Secretariat — Policy on Results glossary

14.6 F

Term	Definition	Sources
FDI	Foreign direct investment; cross-border investment associated with lasting interest and influence in an enterprise.	OECD — Benchmark Definition of Foreign Direct Investment, fifth edition
Fiscal impact	Effect on public revenue, cost, capital, and financial position.	City of Calgary — A Municipal Fiscal Impact Model

14.7 G

Term	Definition	Sources
Governance	Structures and processes for direction, authority, accountability, risk, and oversight.	Treasury Board of Canada Secretariat — Guideline on Service Agreements
Gross margin	Sales less cost of goods sold, divided by sales.	Business Development Bank of Canada — Financial ratios: what they are and how to use them

14.8 I

Term	Definition	Sources
Impact	A significant positive or negative, intended or unintended, higher-level effect to which an intervention contributes. Evaluation frameworks differ on whether the term is reserved for longer-term change.	OECD — Glossary of Key Terms in Evaluation and Results-Based Management
Income statement	Statement of revenue, expenses, and profit over a period.	IFRS Foundation — IAS 1 Presentation of Financial Statements
Indirect effect	Activity generated in suppliers by the direct activity.	Statistics Canada — Guide to Using the Input-Output Simulation Model
Induced effect	Activity associated with spending of labour income from direct and indirect activity.	Statistics Canada — Guide to Using the Input-Output Simulation Model
Industrial mix effect	Shift-share component associated with the reference industry's growth relative to overall reference growth.	Minnesota Department of Transportation — Regional Economic Analysis and Shift-Share Analysis
Input	Resource used by a program, such as staff, money, data, or facilities.	Treasury Board of Canada Secretariat — Evaluation 101
Interest coverage	An earnings measure divided by interest expense; EBIT divided by interest expense is common, but definitions vary.	Business Development Bank of Canada — Financial ratios: what they are and how to use them
Inventory turnover	Cost of goods sold divided by average inventory.	Business Development Bank of Canada — Financial ratios: what they are and how to use them

14.9 L

Term	Definition	Sources
Land-use bylaw or zoning bylaw	Regulation that establishes land uses and development standards; terminology varies by jurisdiction.	Ontario — Zoning bylaws
Lead	A possible opportunity requiring validation.	Salesforce — What is sales prospecting?
Leakage	Benefits that flow outside the intended area or population.	UK Government — The Green Book: appraisal and evaluation in central government
Liabilities	Present obligations to transfer an economic resource as a result of past events.	IFRS Foundation — Conceptual Framework for Financial Reporting
Liquidity	Ability to meet near-term obligations.	Business Development Bank of Canada — Four ways to assess your business using financial ratios
Location quotient	Ratio comparing an industry's share of a regional measure with the same industry's share of that measure in a reference economy. Employment is common, but earnings, output, or GDP may also be used.	Statistics Canada — Glossary of terms: location quotient
Logic model	Connection among inputs, activities, outputs, and outcomes.	Treasury Board of Canada Secretariat — Evaluation 101

14.10 M

Term	Definition	Sources
Market-to-book	Market price per share divided by book value per share.	CFA Institute — Market-Based Valuation: Price and Enterprise Value Multiples
Marketing	Targeting, positioning, communication, and lead-generation activity.	Business Development Bank of Canada — Marketing plan
Mentoring	Developmental relationship in which experience supports another person's capability and judgment.	Justice Canada — Three Years On: Mentoring at the Department of Justice and the Public Prosecution Service of Canada

14.11 N

Term	Definition	Sources
NAICS	North American Industry Classification System.	Statistics Canada — North American Industry Classification System introduction
Net margin	Net income divided by sales.	Business Development Bank of Canada — Financial ratios: what they are and how to use them

14.12 O

Term	Definition	Sources
Official plan or municipal plan	A statutory or policy plan setting long-term land-use and growth direction. Its name, required content, approval process, and legal effect vary by jurisdiction.	Ontario — Official plans
Operating budget	Plan for recurring revenues and expenditures.	Treasury Board of Canada Secretariat — Directive on Corporate Plans, Expenditures and Budgets
Outcome	A short- or medium-term change in condition, behaviour, capacity, or performance that an intervention is expected to influence through its activities and outputs.	OECD — Glossary of Key Terms in Evaluation and Results-Based Management
Output	A product, capital good, or service delivered by an intervention, such as firms served, workshops delivered, or reports completed.	OECD — Glossary of Key Terms in Evaluation and Results-Based Management

14.13 P

Term	Definition	Sources
P3	Public-private partnership; an arrangement allocating project functions and risks between public and private parties.	Infrastructure Ontario — Public-private partnerships frequently asked questions
Performance measure	Indicator used to monitor implementation, efficiency, output, outcome, or impact.	Treasury Board of Canada Secretariat — Policy on Results glossary
Price-earnings ratio	Market price per share divided by earnings per share.	Investor.gov — Price-earnings ratio
Project	In this guide's investment funnel, a qualified and actively managed investment opportunity. Pipeline terminology varies among organizations and customer-relationship systems.	SelectUSA — Investor services

Term	Definition	Sources
Prospect	A lead judged sufficiently suitable for active follow-up. Sales and investment-pipeline terminology varies by organization.	Salesforce — What is sales prospecting?

14.14 Q

Term	Definition	Sources
Qualified lead/project	A verified opportunity meeting the organization's documented criteria, normally including fit, need, decision authority, resources, and timing.	Salesforce — What is a sales-qualified lead?
Quick ratio	Quick assets divided by current liabilities. Quick assets commonly include cash, short-term investments, and receivables; simplified formulas may subtract inventory and less-liquid prepaids from current assets.	Business Development Bank of Canada — Four ways to assess your business using financial ratios

14.15 R

Term	Definition	Sources
Reference-area growth effect	Shift-share component associated with overall employment growth in the reference economy.	Minnesota Department of Transportation — Regional Economic Analysis and Shift-Share Analysis
Return on assets	Net income divided by average total assets.	Business Development Bank of Canada — Financial ratios: what they are and how to use them
Return on equity	Net income available to common shareholders divided by average common equity.	Business Development Bank of Canada — Financial ratios: what they are and how to use them
Rights-holder	A person or collective holding legal, constitutional, treaty, inherent, or other recognized rights relevant to a decision. In the Crown's duty-to-consult context, the term refers to Indigenous rights-holding collectives, not merely interested parties.	Justice Canada — Consultation terminology; Language Portal of Canada — Rethinking the word "stakeholder"

14.16 S

Term	Definition	Sources
Sales	Relationship and decision work that moves a qualified project toward commitment.	Business Development Bank of Canada — Sales and marketing toolkit
Sector strategy	Coordinated plan to strengthen a defined industry or economic field.	OECD — Strategic planning and regional development
Shift-share	Method decomposing local employment change into reference growth, industry mix, and local shift.	Minnesota Department of Transportation — Regional Economic Analysis and Shift-Share Analysis
Site selection	Business decision process used to compare, eliminate, and select locations.	SelectUSA — Investor Guide
SMART	Specific, measurable, achievable, relevant, and time-bound. Variants use words such as realistic, results-focused, or audience-specific; define the version being used.	Environment and Climate Change Canada — Writing SMART objectives
Stakeholder	A person, group, or organization affected by, interested in, or able to influence a decision. Do not use the term as a substitute for Indigenous rights-holder.	Health Canada and Public Health Agency of Canada — Public engagement glossary; Language Portal of Canada — Rethinking the word “stakeholder”
Strategic plan	Evidence-based framework that links mission, priorities, actions, resources, and measurement.	OECD — Strategic planning and regional development
SWOT	Strengths, weaknesses, opportunities, and threats; usually strengths and weaknesses are internal, while opportunities and threats arise externally.	Canada Revenue Agency — Environmental Scan and SWOT Analysis

14.17 T

Term	Definition	Sources
Target sector	Industry or business function selected for focused development based on evidence and fit.	SelectUSA — Target Industries Dashboard
Theory of change	Explanation of how and why activities are expected to create outcomes.	Treasury Board of Canada Secretariat — Evaluation 101
Triple bottom line	A framework that considers economic, social, and environmental performance or value rather than financial performance alone.	Innovation, Science and Economic Development Canada — SME Sustainability Roadmap

14.18 V

Term	Definition	Sources
Value proposition	Evidence-based explanation of why a target should choose or engage with a community.	SelectUSA — Reports and Publications

14.19 W

Term	Definition	Sources
Working capital	Current assets minus current liabilities.	Business Development Bank of Canada — Using the working capital ratio

Part IV

Sources and Use

Public Sources and Disclaimer

15.1 Verification date

The public requirements and links in this guide were checked on August 12, 2026. Certification rules can change, so candidates should verify them again before registering or writing.

15.2 Official EDAC sources

Public source	How it is used in this guide
Ec.D. Designation	Public eligibility routes, professional-development expectations, and the designation's three current pillars
Ec.D. Exam Preparation	Membership and eligibility summary, preparation recommendations, technical requirements, exam timing, section structure, and marks
Exam Registration Process	Public registration and scheduling sequence
Exam Policies	Candidate agreement, result handling, Board approval, re-write policy, fees, and membership requirements
EDAC Code of Ethics	Professional duties concerning competence, integrity, confidentiality, conflicts, public interest, and professional conduct
Ec.D. Re-certification	Continuing membership, professional activity, and re-certification expectations

EDAC is the authority for eligibility and examination rules. Its public designation page describes a baseline route and alternatives, while the separate exam portal summarizes the three-year and 45-point route. Administrative details also differ across pages. Candidates should therefore ask EDAC to confirm their individual eligibility, fee, schedule, permitted materials, accommodation process, technical setup, and current contact information.

15.3 Canadian economic and community data

Public source	Useful applications
Statistics Canada Census Profile	Population, age, income, education, housing, commuting, language, immigration, and labour-force profiles
Statistics Canada Census Program Data Viewer	Geographic comparison and visualization of census indicators
Statistics Canada Labour Statistics	Employment, unemployment, wages, vacancies, hours, productivity, and labour-market trends

Public source	Useful applications
Statistics Canada Business Register and Canadian Business Counts	Business-location and establishment counts by industry, geography, and employment size
ISED Trade Data Online	Canadian imports and exports by product, industry, country, province, and territory
Canada Business Benefits Finder	Public programs and services potentially relevant to firms and entrepreneurs

National sources should be supplemented with current provincial, territorial, Indigenous, municipal, regional, utility, real-estate, workforce, and local business information.

15.4 Contemporary-issue sources

Public source	Topics supported
Bank of Canada Monetary Policy Report	Inflation, interest rates, growth, investment, household demand, trade, productivity, and economic risk
July 2026 Monetary Policy Report	A dated economic snapshot for contemporary-issue practice
CMHC 2026 Housing Market Outlook update	Housing supply, sales, prices, rental conditions, uncertainty, and regional differences
Government of Canada tariff responses	Current trade measures and Canadian policy responses
Business and economic development for Indigenous Peoples	Federal programs and entry points related to Indigenous entrepreneurship, business development, and economic participation
Canada's National Adaptation Strategy	Climate resilience, infrastructure, disaster risk, health, nature, and economic adaptation

The contemporary-issues chapter uses these sources to identify themes, not to predict the examination question. Refresh the evidence close to the exam date.

15.5 Interpretation notes

- Every substantive chapter contains a topic-specific **Learn more** section.
- The glossary pairs every definition with one or more authoritative public references.
- The currently published essay limit is a maximum of 3,000 words.
- The public exam page labels eight short-answer sections A through H but does not publicly state the subject assigned to each section.
- EDAC's current designation page identifies business retention and expansion, investment attraction, and strategic planning as three pillars. The exam page does not publicly map the eight short-answer sections to named topics, so this guide studies a broader professional knowledge base.

- Planning systems and legal terminology differ across provinces and territories. Verify the relevant jurisdiction.
- Market-to-book is market price per share divided by book value per share.
- Days sales outstanding may use 360 or 365 days. State the convention and use it consistently with the benchmark.
- Economic-development outcomes should be supported by current evidence rather than treated as universal percentages or guarantees.

15.6 Mock-exam design

The multiple-choice, true/false, written, and calculation practice questions draw on the concepts, frameworks, terminology, and public references used throughout this study guide. Constructed scenarios and figures provide practice organized around the publicly described examination structure.

15.7 AI assistance disclosure

Xiao prepared the underlying study notes and made the final decisions about the guide's scope, content, and wording. OpenAI's Codex, using the GPT-5.6 model, helped synthesize the notes, research additional public sources, edit and format the Markdown and LaTeX files, and produce the PDF edition.

AI-assisted content can contain errors or omissions. Xiao reviewed the guide and takes responsibility for its published content. Readers should verify examination requirements and substantive information with EDAC and the cited public sources.

15.8 Feedback and contact

This guide was created by [Xiao](#), who publishes projects on GitHub as [B1ackCat7](#). Constructive corrections, comments, and professional connections are welcome through [LinkedIn](#).

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15.11 Learn more

- Start with [EDAC's Ec.D. Designation page](#) and [Exam Preparation page](#) for current official examination information.
- Use the chapter-level reference sections to research a topic in context.
- Use the term-by-term glossary when checking a definition or competing convention.

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Closing Note

This guide is designed to support structured review, applied thinking, and professional discussion. Use it as a starting point, verify current requirements with EDAC, and continue learning from practitioners, communities, and public sources.

Constructive feedback, comments, and professional connections are welcome through [Xiao's LinkedIn profile](#).

[linkedin.com/in/xxiao27](https://www.linkedin.com/in/xxiao27)

github.com/B1ackCat7/ecd-exam-study-guide